

Comparative analysis of India Formulations business across players over FY22-26

In this report, we compare the India Formulations businesses of 21 pharma companies across 17 different operating parameters, including market share (MS) gains in the India Pharma Market (IPM), contribution of volume/price/new launches to India business growth, exposure to faster-growing Chronic and Sub-Chronic therapies, growth in the Chronic and Sub-Chronic portfolio, ability to create large brands, NLEM revenue exposure, sales rep productivity, and organic growth delivered in the India business over the past 6 years.

Our FY22-26 analysis of the India Formulations businesses indicates that Sun Pharma, Torrent + JB Pharma, Cipla, CORONA, Mankind, and Alkem's India businesses rank the best on a consolidated score across the 17 various operating metrics (equal-weighted), while GSK, FDC, Indoco, Sanofi, Emcure, and Alembic's India businesses rank the least. Although Ipca and Glenmark had scored highly across these 17 various operating metrics in our last year's analysis, both companies have fallen off the charts this year owing to their recent underperformance. Comparatively, ramp-up in the Chronic segment and outperformance vs the Chronic and Sub-Chronic market has led to Sun and Torrent + JB gaining ~60-70bps MS in the Chronic/Sub-Chronic therapies over FY22-26.

While the IPM clocked an 8.5% revenue Cagr over FY20-26ii, CORONA delivered organic India business growth of 17% Cagr (primary sales) over FY20-26ii. In comparison, Torrent + JB, Sun, and Ipca delivered 12% Cagr, while Mankind and Cipla delivered 10.5-11% Cagr over the same period. Our preferred picks in the Dom Form Pharma sector are Torrent/JB Pharma, Alkem, and CORONA, given their strong India/BGx businesses and limited exposure to the US generics market.

IPM growth has picked up in FY26 after muted growth of 8% Cagr over FY22-25, driven by a sharp improvement in the Chronic segment

While the India Pharma Market (IPM) has been consistently growing at 9-10% Cagr over FY19-26, the industry value growth slowed to 8% Cagr over FY22-25, due to muted growth in the Acute therapies led by tepid price hikes for the NLEM portfolio and some volume impact from generic-generic substitution/increasing usage of Jan Aushadhi. However, IPM growth has picked up in FY26 to ~10% YoY, primarily on account of sharp improvement in the Chronic segment growth, while we also note that the Acute segment growth has also picked up.

Over FY22-25, IPM Chronic/Acute segment grew at 10.2/6.5% Cagr, which improved to 13.7/7.6% YoY growth in FY26, implying that out of the ~200bps improvement in the IPM growth run-rate in FY26 vs FY22-25, Chronic contributed ~130bps to growth improvement while Acute contributed ~70bps. The sharp ramp-up in growth of Chronic segment in FY26 is likely driven by the impact of patent expiries in the Anti-Diabetes market being in the base now and due to GLP-1 product launches in India – Eli Lilly's Mounjaro (Tirzepatide) and Novo Nordisk's Wegovy (Semaglutide) – with Eli Lilly's Mounjaro becoming the largest brand in India in one year of launch.

The IPM grew 7.9% Cagr over FY22-25, driven by volume/price/new launches growth of 0.7/4.6/2.6% Cagr resp. Price increases have been a bigger component of the Domestic Pharma Market's growth over the past 5-6 years, having been ~5% Cagr for IPM over FY19-25, thereby contributing to ~50% of industry's growth during this period. However, FY26 saw a marked shift in the growth drivers with volume growth improving, as ~10% YoY IPM growth in FY26 was driven by volume/price/new launches growth of 2.7/4.4/2.8% resp. We believe the market volume growth picked up in FY26 (IPM volume growth of 2.7% in FY26 vs 0.7% Cagr over FY22-25), led by LoEs in the Anti-Diabetes segment being in the base now, GLP-1 launches, and recovery in the Acute segment. We believe this improvement in

volume growth trajectory for the IPM will continue, aided by ramp-up of generic GLP-1 products in India now.

Tirzepatide is likely to see stronger specialist traction; Rising competition will lead to Semaglutide becoming a mass product and hence Sema's momentum will moderate over 1-2 years

The Tirzepatide market is expected to shape the overall GLP-1 landscape in India, as Tirzepatide injectables are expected to maintain stronger Rx (prescription) traction in specialty segments and exhibit better brand equity in the GLP-1 market. Around 10-12 pharma companies have launched their generic version of Semaglutide in India from Mar'26, with Sema generic pricing being at a 40-80% discount to Novo's Wegovy (2.4mg). Torrent has cornered ~8% market share within the ~25% generics market share for Semaglutide in India within 10 days of launch (the innovator, Novo Nordisk, still holds the remaining ~75% market share).

However, nearly 30-40 companies are likely to launch Semaglutide in India over the next few months, which may create significant market noise and limit differentiation. Semaglutide will grow initially but may slow down in 1-2 years. There will be multiple price cuts for Semaglutide in India, and excessive dependence on it could be risky for companies. In contrast, Tirzepatide will be marketed by only two companies, Eli Lilly and Cipla, reducing competitive noise and enabling better differentiation, given that Tirzepatide has shown better efficacy and relatively fewer side effects.

It is estimated that 5% of India's population of 1.45bn people are obese. Assuming 5% penetration among obese patients and monthly Semaglutide generic pricing of Rs2.5-3K (vs Novo Nordisk's Rs9-16K), we estimate that the Sema market in India could generate annual sales of ~Rs100bn over the next 2-3 years, representing ~4.5% of current annualised IPM sales of Rs2,470bn. Hence, we believe that the IPM growth could accelerate by 100-200bps p.a. led by Sema launches in India from Mar'26.

We remain constructive on a secular 9-10% growth trend for the IPM, led by acceleration from GLP-1 launches

While growth in the Chronic and Sub-Chronic therapies in the IPM has been resilient at ~10% Cagr over FY22-26, growth in the Acute therapies has been muted at only ~6.7% Cagr over the same period. The market mix is gradually shifting towards Chronic therapies, with a structural decline in Anti-infectives and Cough/Cold segments within the Acute therapies, while Cardiac, Diabetes, Respiratory and Urology continue to be the key growth drivers within the Chronic segment.

Within the Acute segment, Anti-infectives and Cough & Cold therapies are witnessing a structural moderation in growth. Prescription momentum in Anti-infectives has softened, as doctors increasingly adopt a more cautious approach to antibiotic use led by stricter regulatory oversight and evolving clinical guidelines promoting rational antibiotic prescribing. Similarly, the Cough & Cold category is facing demand migration towards Respiratory therapies.

With rising pollution levels, a larger proportion of patients are being treated under Chronic Respiratory regimens rather than episodic Acute Cough & Cold medications. Going forward, as patient flow stabilises and no major LoEs are expected across existing therapy areas, IPM value growth is likely to be in the range of 9-10%, supported by low-single-digit volume growth, led by acceleration from GLP-1 launches.

We do not see any significant incremental impact on the growth of Branded Generics in India from Trade/Jan Aushadhi Generics. Generic-Generic products typically emerge only after the presence of an established reference Branded Generic product, and their evolution in the IPM reflects this dependence. Brands help Generics survive, not the other way around. Over the past 10 years, Generics have increased their Rx share from 2.7% (CY14) to 3.5% (CY25), though their overall share remains small. Incremental growth for Generic-Generic products has been higher in metros and small towns and is driven more by Specialist doctors (56% Generic Rx contribution) than

GPs/Rural doctors (44% Generic Rx contribution), with Specialists growing faster.

This indicates that Generic-Generic substitution largely occurs in well-understood, brand-created markets. In most cases, Generic-Generic entry occurs when the originating Branded-Generic product has reached a mature or declining phase of its lifecycle, allowing Generics to improve affordability and expand patient access rather than disrupt the market. In Acute therapies – Saline, Vaccines, Steroids, Antiallergics, and Antibiotics have a higher proportion of Generic Rx share. In Chronic therapies – Respiratory, Cardiovascular, Anti Diabetes, CNS, and Anti-Cancer have a higher proportion of Generic Rx share, though Chronic Generics still account for only ~15% of the Generic Rx market.

Chronic therapy growth momentum to continue led by Cardiac, Diabetes, Respiratory and Urology

Chronic therapies continue to gain structural share in the prescription mix, with Chronic Rx salience improving ~160bps from ~17.4% to ~19.0% over CY19-CY25, highlighting sustained shift towards long-duration treatments post Covid. Within Chronic, Cardio-Vascular, Diabetes, Respiratory, Urology and Nephrology are relatively more progressive in prescriptions and remain the key growth drivers, benefiting from rising disease prevalence, better diagnosis, and continued therapy adherence. While Cardiac and Diabetes are largely non-seasonal, Respiratory is seasonal and impacted by fluctuations. Despite its seasonal nature, with peak traction in winter and softer demand during the rainy season, the Respiratory segment continues to drive Chronic growth. Without this seasonality, the Respiratory therapy could potentially have reached a scale similar to that of Cardiac and Anti-Diabetes. The increasing contribution of these progressive therapy areas underscores a structurally strengthening Chronic mix, which is likely to remain a key medium-term growth pillar for the IPM supported by stable patient flows and rising Chronic disease burden.

CORONA, Ajanta, Cipla, Glenmark, Alkem, Sun and Torrent have significantly outperformed IPM volume growth

Per secondary data sources, the IPM has clocked 8.5% sales Cagr over FY22-26, driven by volume growth of 0.7% Cagr and new launches + price increases of 7.8% Cagr. CORONA, Ajanta, Cipla, Glenmark and Alkem have significantly outperformed IPM volume growth, with volume growth of these companies being at ~4-10% Cagr over FY22-26 vs IPM volume growth of ~0.7% Cagr. Sun and Torrent have also seen healthy volume growth of ~2-3% Cagr over FY22-26 vs IPM volume growth of ~0.7% Cagr.

Volume outperformance for CORONA, Ajanta, Cipla, Glenmark, Alkem, Sun and Torrent has been driven by a ramp-up in their Chronic portfolios in the domestic market and expansion in the covered market (CVM) presence. CORONA, Cipla, Sun and Torrent's volume outperformance has also been driven by ~15-30% absolute expansion in their India field force over FY22-26. However, most of the other large Indian pharma players have struggled to outperform IPM volume growth, with GSK, Abbott, Zydus, Emcure, and Alembic's India volumes declining at ~2.5-4.5% Cagr over FY22-26 vs. IPM volume growth of ~0.7% Cagr.

Volume growth has accounted for 40-60% of India business growth for CORONA, Ajanta, Cipla, Glenmark, and Alkem over FY22-26 vs 8% for the IPM

With CORONA, Ajanta, Cipla, Glenmark, and Alkem significantly outperforming IPM volume growth, domestic business growth for these five companies has been driven more by volume growth rather than price increases. Volume growth has accounted for 40-60% of the India business growth for CORONA, Ajanta, Cipla, Glenmark and Alkem over FY22-26 vs 8% for the IPM. Volume growth has accounted for 25/15% of the India business growth for Sun/Torrent resp. over FY22-26. For CORONA, Cipla, and Glenmark, the contribution of volume growth to overall India business growth has been even higher than that from new launches + price increases over FY22-26.

Torrent + JB, Zydus, Abbott, and Ipca have significantly outperformed IPM price + new launches growth

Per secondary data sources, the IPM has clocked 8.5% sales Cagr over FY22-26, driven by price + new launches growth of 7.8% Cagr and volume growth of 0.7% Cagr. Torrent + JB, Zydus, Abbott and Ipca have significantly outperformed IPM price + new launches growth, with their price + new launches growth at ~10-13.5% Cagr over FY22-26 vs IPM price + new launches growth of ~7.8% Cagr.

Apart from Torrent + JB, Zydus, Abbott and Ipca, most other companies have performed in-line with market in terms of price + new launches growth. However, Glenmark, Cipla, and Eris have underperformed the IPM price + new launches growth, with price + new launches for these companies growing only at ~3-5% Cagr over FY22-26 vs IPM price + new launches growth of ~7.8% Cagr.

With Torrent + JB, Zydus, Abbott and Ipca significantly outperforming the IPM price + new launches growth, domestic business growth for these four companies has been driven more by price increases and new launches growth rather than volume growth. Price + new launches growth has accounted for 115-155% of India business growth for Torrent + JB, Zydus, Abbott and Ipca over FY22-26 vs 92% for the IPM.

Strong volume and price + new launches growth has driven market share (MS) gains for Sun, Torrent + JB, CORONA, Ajanta, and Alkem thereby allowing them to significantly outperform IPM value growth

Per secondary data sources – CORONA, Ajanta, Torrent + JB, Sun, and Alkem's India businesses have grown at 18%, 12%, 12%, 11%, and 10% Cagr resp. over FY22-26, vs IPM value growth of 8.5% Cagr, with most of these companies outperforming the market growth by ~150-350bps over the past 4 years (CORONA's outperformance vs IPM growth has been ~900bps over FY22-26).

Based on primary reported sales as well, while IPM clocked 8.5% revenue Cagr over FY20-26ii, organic India business growth for CORONA has been 17% Cagr based on primary sales over FY21-26ii, while that for Ajanta has been 14% Cagr, for Torrent + JB and Sun has been 12% Cagr, and for Alkem has been 10% Cagr.

Volume driven as well as price + new launches driven outperformance has led to ~80bps gain in overall MS for Sun over FY22-26, while price + new launches driven outperformance has led to ~55bps gain in MS for Torrent + JB, and volume driven outperformance has led to ~10-25bps gains in MS for Alkem, CORONA, and Ajanta over the past 4 years. We expect CORONA's India business to continue its robust growth momentum of ~16% organic revenue Cagr over FY26-28ii, while we project Torrent + JB, Sun and Ipca's India businesses to also grow strongly at ~12% Cagr over FY26-28ii driven by a strong focus on volume-led growth and further scale-up in the Chronic portfolios of these companies.

Sun Pharma, Torrent + JB, Mankind, CORONA, Glenmark, and Alkem have seen the maximum gains in Chronic and Sub-Chronic MS over FY22-26

While the faster-growing Chronic and Sub-Chronic therapies account for ~56% of the IPM, a few companies such as Eris, Torrent + JB, Lupin, CORONA, Abbott, Cipla, and Sun Pharma derive ~62-83% of their overall India Formulations sales from Chronic and Sub-Chronic segments.

Although Chronic and Sub-Chronic therapies have grown at ~10% Cagr in the IPM over FY22-26, CORONA, Torrent + JB, Glenmark, Sun, Mankind and Alkem have significantly outperformed the Chronic and Sub-Chronic market growth in India, with their Chronic and Sub-Chronic portfolios growing at 20%, 13%, 13%, 12%, 12%, and 12% Cagr resp. over FY22-26, thereby outperforming the Chronic and Sub-Chronic market growth by 200-300bps over the past 4 years (CORONA's outperformance in the Chronic and Sub-Chronic segment has been ~1,000bps over FY22-26). Even Cipla, Zydus, Alembic, and Ajanta's Chronic and Sub-Chronic businesses have grown at 11% Cagr

over FY22-26, thereby outperforming the Chronic and Sub-Chronic market growth by 40-90bps over the past 4 years.

Ramp-up in the Chronic/Sub-Chronic portfolio and outperformance vs the Chronic/Sub-Chronic market has led to Sun and Torrent + JB gaining ~60-70bps MS in the Chronic and Sub-Chronic therapies over FY22-26, while Mankind, CORONA, Glenmark and Alkem have gained 20-30bps MS in the Chronic and Sub-Chronic therapies over the past 4 years.

Comparatively, Emcure, Abbott, GSK, Eris, Lupin, Indoco, Ipca, and Dr. Reddy's Chronic and Sub-Chronic portfolio in India has grown only at ~3-8% Cagr during this period, thereby underperforming Chronic and Sub-Chronic market growth by ~200-650bps over the past 4 years. Consequently, Emcure, Abbott, Lupin, Sanofi, Eris, GSK and Dr. Reddy's have lost ~20-60bps MS in the Chronic and Sub-Chronic segment over FY22-26.

Companies that concentrate on 2-3 priority brands within a division tend to build stronger prescription franchises

Top corporates continue to outperform smaller companies in driving Rx growth within the IPM. Leading corporates continue to anchor prescription growth in the IPM, with the top 1-15 companies holding ~39% Rx share and delivering ~1.3% YoY Rx growth in CY25. Mid-tier companies, ranked 16-30 and 31-60 with 12.4% and 9.3% Rx share, are growing faster at ~2.4% and ~4.2%, respectively in terms of prescriptions. In contrast, the long tail of smaller companies (>1000 players) despite holding a similar ~39% Rx share, are witnessing slight Rx declines (~0.3% decline), highlighting that growth is increasingly concentrated among scaled players and those with strong brands. Overall, Rx growth is concentrated among larger and upper mid-sized corporates, while smaller companies are underperforming, except those able to build at least one strong brand. This trend reinforces the importance of brand-building and portfolio focus.

Companies that concentrate on 2-3 priority brands within a division tend to build stronger prescription franchises than those spreading resources across 10-15 brands. Brands in the early stage of their lifecycle should be managed within the same division to ensure focused development and efficient resource allocation. From this pool, the 2-3 brands that show strong progress should receive higher priority and investment. Once these brands mature and establish themselves successfully, they can be moved into an exclusive division to drive further growth. In the pharma industry, if a single rep promotes 4-5 brands to doctors, not even one brand will do well. But if one promotes 1-2 focused brands, those brands can perform well even without being innovative molecules. Focused branding enables deeper doctor engagement, better lifecycle management, and stronger market positioning, which in turn translates into superior Rx traction and overall IPM performance.

Lupin, Alkem and Zydus have relatively fewer number of brands in the >Rs1bn sales club in the IPM vis-à-vis their overall rankings in the market

Although the top-10 players in the India Pharma Market each have 17-45 brands in the >Rs1bn sales club in India, Lupin, Alkem and Zydus seems under-indexed on this front. Sun has 45 mother brands with sales of >Rs1bn each, while Cipla, Mankind and Torrent + JB have 27-31 brands with sales of >Rs1bn each. Lupin, Zydus and Alkem have only 17-19 brands in the >Rs1bn sales club. Similarly, Glenmark/Emcure also have only 6/10 brands in the >Rs1bn sales club, while lower-ranked companies like GSK, Ipca, Sanofi, and Eris have 12/8/7/6 mother brands in the >Rs1bn sales club.

Sales of top-25 mother brands are growing the fastest for CORONA, Glenmark and Torrent + JB

Top-25 mother brands on an average account for ~68% of the India sales for the 21 pharma companies analyzed in this report. Sun, Zydus, Lupin, and Mankind have the most diversified product portfolio in the India Pharma Market, with top-25 mother brands accounting for ~40-50% of the domestic sales for these four companies. Comparatively, Sanofi, GSK, FDC, and Abbott derive 85-100% of their

India sales from their top-25 mother brands in India, while Indoco, Glenmark, Ipca, and CORONA derive 75-85% of their India sales from their top-25 mother brands in India.

While high product-concentration is a risk for CORONA, Glenmark, and Ipca, and we assign low-scores to these companies on this metric, we note that the top-25 mother brands for CORONA and Glenmark have still grown at 22% and 14% Cagr resp. over FY22-26 vs the industry average growth of 10% Cagr for the top-25 mother brands and 12% Cagr for the IPM top-25 mother brands over this period. Torrent + JB, Sun and Zydus' top-25 mother brands have grown at 11-12% Cagr, slightly above the industry average growth of 10% Cagr for the top-25 mother brands over FY22-26. We believe big brands usually get into an "auto prescription" mode with the doctors, which helps the respective companies to continue to drive growth in these large brands.

NLEM revenue exposure is the highest for FDC, GSK, Sanofi, Alkem, and Cipla which would again drive relatively muted Acute segment growth for these companies in FY27

While the price-controlled NLEM/DPCO drug portfolio accounts for 17% of the overall IPM sales, some companies such as FDC and GSK derive 40-60% of their overall India sales from the NLEM products. Sanofi, Alkem, and Cipla also derive 27-33% of their overall India sales from the NLEM products. NLEM revenue exposure is also high for Abbott, Zydus, and Mankind at 19-20% of their India sales.

India business growth has been muted for Acute-heavy players in FY26 who have high exposure to the NLEM portfolio, because there was virtually 'nil' price increase allowed on the NLEM portfolio for FY25/FY26 as compared to price increases of 11-12% on the NLEM portfolio in FY23/FY24. For FY27 as well, NPPA has notified only ~0.65% price increase for the NLEM portfolio, and we note that FY27 will again likely be a relatively muted growth year for the domestic business of all Acute-heavy companies that have high exposure to the NLEM portfolio including FDC, GSK, Sanofi, Alkem and Cipla. However, recent media articles suggest that govt. may allow temporary 10-20%

price hikes in essential/NLEM drug prices to offset rising input costs triggered by West Asia supply chain disruptions due to the US/Israel-Iran war. In this scenario of temporary price increases for the NLEM portfolio (if allowed), FDC, GSK, Sanofi, Alkem, and Cipla will benefit the most.

Comparatively, most of the Chronic and Sub-Chronic heavy companies such as Torrent + JB, CORONA, Sun, Dr. Reddy's, Ajanta and Lupin have relatively low NLEM revenue exposure of only 7-15%.

Sun, Torrent + JB, Cipla, and Lupin rank the best in terms of productivity (PCPM) for the India rep team; CORONA and Eris have seen the maximum gains in India PCPM over FY23-26

Chronic-focused peers typically have higher PCPM for their India sales rep team as compared to Acute-focused companies, owing to higher realisations for Chronic products as well as a lower no. of reps required in a Chronic business vs. an Acute business (given Acute companies need to cover GPs and hence, have a much larger field force).

Accordingly, with Sun, Torrent + JB, Cipla, and Lupin deriving ~45-60% of their India sales from Chronic products (vs 35% for the IPM) and ~62-75% of their India sales from Chronic + Sub-Chronic products (vs 56% for the IPM), these four companies have the highest PCPM in India (ex-MNCs) at Rs7.5-10.5lakhs pm vs industry-average of Rs6lakhs pm (ex-MNCs) in FY26. We note that Sun's PCPM has continued to remain the best in the industry at Rs10-10.5lakhs pm, despite Sun expanding its India field force by ~55% over FY20-26. Acute heavy companies like Indoco, Alembic, FDC, Ipca and Alkem have the lowest sales rep productivity at Rs2.5-5lakhs pm only vs industry-average PCPM of Rs6lakhs pm.

In terms of productivity improvements over the past 3-year period, CORONA and Eris have delivered the highest India PCPM Cagr of 10% over FY23-26ii. Zydus, Alembic, Torrent + JB, and Sun have also delivered India PCPM Cagr of 6-6.5% Cagr over FY23-26ii.

Sun Pharma, Torrent + JB Pharma, Cipla, CORONA, Mankind and Alkem's India businesses rank the best on a consolidated score across 17 different operating parameters

We have compared the India Formulations business of 21 pharma companies across 17 different operating parameters, including market share gains in the India Pharma Market (IPM), contribution of volume/price/new launches growth to overall India business growth, exposure to faster-growing Chronic and Sub-Chronic therapies, growth in the Chronic and Sub-Chronic portfolio, ability to create large brands as reflected through the no. of brands with >Rs1bn sales in India, growth rate in the top-25 mother brands, revenue exposure to the NLEM portfolio, improvement in India sales rep productivity over the past 3-year period, organic growth delivered in the India business over the past 6 years (FY20-26ii), and growth potential for the India business over FY26-28ii.

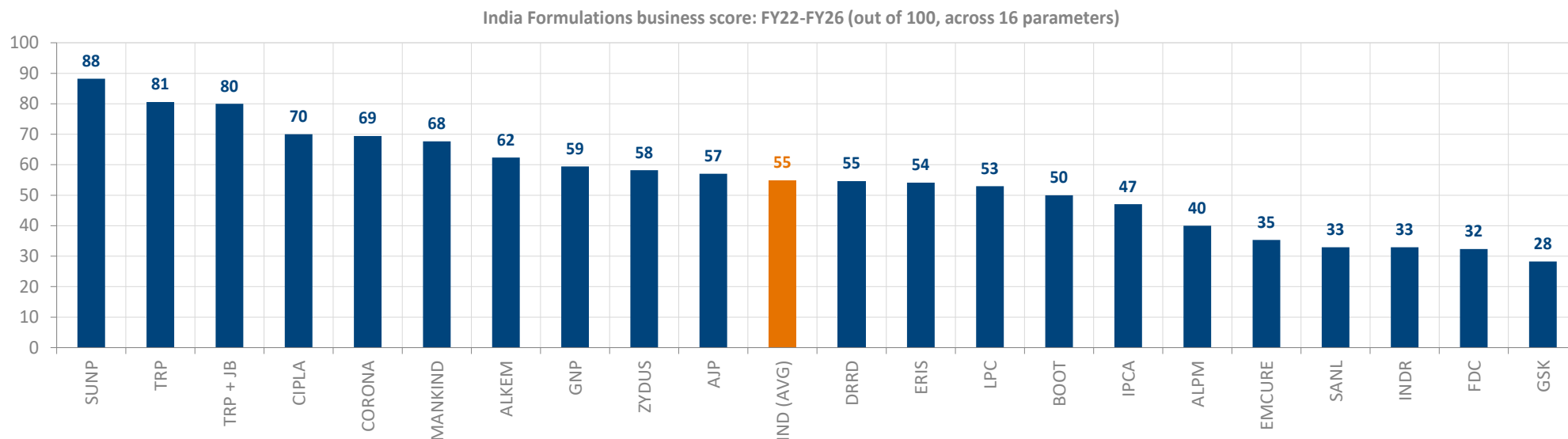
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We expect CORONA's India business to continue its robust growth momentum of ~15-16% organic revenue Cagr over FY26-28ii, while we project Torrent + JB, Sun and Ipca's India businesses to also grow strongly at ~12% Cagr over FY26-28ii driven by a strong focus on volume-led growth and further scale-up in the Chronic and Sub-Chronic portfolios of these companies.

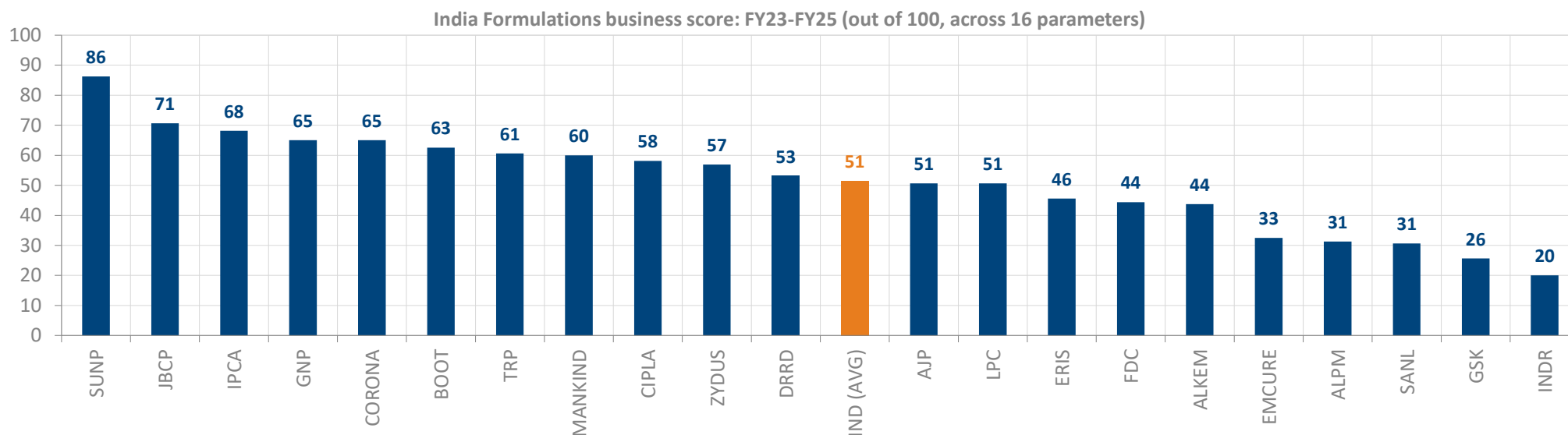
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Figure 1: Our FY22-26 analysis of the India Formulations businesses indicates that Sun Pharma, Torrent + JB Pharma, Cipla, CORONA, Mankind, and Alkem's India businesses rank the best on a consolidated score across the 17 various operating metrics (equal-weighted), while GSK, FDC, Indoco, Sanofi, Emcure, and Alembic's India businesses rank the least



Source: IIFL Research Note – SUNP: Sun Pharma, TRP: Torrent Pharma, TRP+JB: Torrent Pharma + JB Pharma (Merged Entity) , IPCA: Ipca Labs, GNP: Glenmark Pharma, CORONA: Corona Remedies, BOOT: Abbott India, MANKIND: Mankind Pharma, CIPLA: Cipla, ZYDUS: Zydus Lifesciences, DRRD: Dr. Reddy's, AJP: Ajanta, LPC: Lupin, ERIS: Eris Lifesciences, FDC: FDC, ALKEM: Alkem, EMCURE: Emcure, ALPM: Alembic Pharma, SANL: Sanofi India, GSK: GlaxoSmithKline India, INDR: Indoco Remedies, IND (AVG): Industry-average

Figure 2: Although Ipca and Glenmark had scored highly across these 17 various operating metrics in our last year's analysis, both companies have fallen off the charts this year owing to their recent underperformance



Source: IIFL Research; Note – SUNP: Sun Pharma, JBCP: JB Pharma, IPCA: Ipca Labs, GNP: Glenmark Pharma, CORONA: Corona Remedies, BOOT: Abbott India, TRP: Torrent Pharma, MANKIND: Mankind Pharma, CIPLA: Cipla, ZYDUS: Zydus Lifesciences, DRRD: Dr. Reddy's, AJP: Ajanta, LPC: Lupin, ERIS: Eris Lifesciences, FDC: FDC, ALKEM: Alkem, EMCURE: Emcure, ALPM: Alembic Pharma, SANL: Sanofi India, GSK: GlaxoSmithKline India, INDR: Indoco Remedies, IND (AVG): Industry-average

Figure 3: Comparative analysis of the India Formulations business across players over FY22-26

Company	IPM rank (FY26)	Value MS (FY22, %)	Value MS (FY26, %)	FY22-26 MS gains	Chronic mix (FY26, %)	Sub Chronic mix (FY26, %)	Chronic + Sub Chronic mix (FY26, %)	Chronic + Sub Chronic MS (FY22, %)	Chronic + Sub Chronic MS (FY26, %)	India FY22-26 Sales Cagr (Secondary, %)	Outperformance vs IPM
Sun	1	7.7	8.4	78 bps	46	16	62	8.6	9.4	11.2	267 bps
Cipla	2	5.9	5.9	-5 bps	53	10	62	6.4	6.5	8.3	-22 bps
Mankind	3	5.5	5.5	3 bps	30	23	53	4.9	5.2	8.6	15 bps
Torrent + JB	4	4.3	4.9	54 bps	50	25	75	5.8	6.5	11.7	324 bps
Alkem	5	3.9	4.1	23 bps	14	28	42	2.9	3.1	10.0	154 bps
Torrent	6	3.2	3.7	54 bps	49	28	77	4.6	5.1	12.8	431 bps
Lupin	7	3.8	3.5	-30 bps	58	15	73	5.1	4.5	6.3	-221 bps
Abbott India	8	3.4	3.2	-20 bps	49	19	68	4.5	3.9	6.9	-158 bps
Dr. Reddy's	9	3.2	3.2	-2 bps	26	18	45	2.7	2.5	8.3	-16 bps
Zydus	10	3.2	3.2	-3 bps	33	21	54	3.0	3.0	8.2	-27 bps
Emcure	14	2.8	2.5	-39 bps	31	22	52	2.9	2.3	4.6	-394 bps
GSK	15	2.5	2.1	-38 bps	13	25	38	1.6	1.4	4.1	-438 bps
Glenmark	16	2.2	2.1	-13 bps	46	12	58	1.9	2.2	6.9	-159 bps
Ipca	18	1.9	1.9	0 bps	33	8	41	1.5	1.4	8.5	2 bps
Eris	20	1.4	1.3	-12 bps	59	24	83	2.1	1.9	6.1	-236 bps
Alembic	21	1.3	1.1	-14 bps	27	21	49	1.0	1.0	5.4	-307 bps
FDC	24	0.9	0.8	-9 bps	6	12	18	0.4	0.3	5.7	-280 bps
Sanofi	26	1.0	0.8	-21 bps	37	3	40	0.9	0.6	2.3	-616 bps
Ajanta	27	0.7	0.8	9 bps	47	12	59	0.8	0.8	12.0	349 bps
Corona	29	0.5	0.7	18 bps	25	45	70	0.6	0.8	17.6	912 bps
Indoco	31	0.6	0.6	-2 bps	2	13	15	0.2	0.2	7.3	-114 bps
IPM		100.0	100.0		35	21	56	100.0	100.0	8.5	

Source: Industry data, IIFL Research, Note: MS – Market Share, NI – New Introductions, Rep – Company reported, SD – Secondary data

Figure 4: Comparative analysis of the India Formulations business across players over FY22-26 (continued)

Company	FY22-26 Unit Vol Cagr (%)	FY22-26 Price + NI Cagr (%)	Vol cont. to India growth (FY22-26)	Chronic + Sub Chronic FY22-26 Rev Cagr (%)	Outperformance vs IPM Chronic + Sub Chronic	FY22-26 Chronic + Sub Chronic MS gains	Top-25 Mother brands		No. of brands with >Rs1bn sales (FY26)
							FY22-26 Sales Cagr	FY26 Sales Cont.	
Sun	2.8	8.4	25%	12.2	221 bps	72 bps	11%	41%	45
Cipla	5.2	3.1	63%	10.4	41 bps	10 bps	10%	55%	31
Mankind	2.2	6.4	26%	11.8	182 bps	33 bps	10%	52%	30
Torrent + JB	(1.7)	13.5	-15%	12.8	278 bps	61 bps	12%	58%	27
Alkem	3.8	6.2	38%	11.8	177 bps	19 bps	10%	71%	19
Torrent	2.1	10.7	16%	13.0	301 bps	52 bps	13%	59%	22
Lupin	(0.2)	6.5	-4%	6.9	-311 bps	-55 bps	7%	50%	17
Abbott India	(3.7)	10.6	-53%	5.9	-405 bps	-63 bps	7%	85%	21
Dr. Reddy's	0.7	7.6	9%	8.0	-203 bps	-20 bps	8%	57%	24
Zydus	(3.3)	11.5	-40%	10.6	60 bps	7 bps	12%	45%	18
Emcure	(3.2)	7.8	-71%	3.4	-658 bps	-64 bps	4%	54%	10
GSK	(4.4)	8.5	-107%	6.1	-390 bps	-22 bps	5%	90%	12
Glenmark	4.0	2.9	58%	12.9	288 bps	21 bps	14%	82%	6
Ipca	(1.6)	10.1	-19%	7.9	-206 bps	-11 bps	9%	78%	8
Eris	0.9	5.3	14%	6.7	-332 bps	-24 bps	8%	63%	6
Alembic	(2.5)	7.9	-46%	10.8	86 bps	3 bps	6%	72%	4
FDC	5.4	0.3	94%	2.5	-746 bps	-9 bps	7%	90%	3
Sanofi	3.6	(1.3)	155%	(2.4)	-1240 bps	-35 bps	3%	100%	7
Ajanta	5.5	6.5	46%	10.9	94 bps	3 bps	11%	69%	2
Corona	10.3	7.3	58%	19.9	988 bps	24 bps	22%	75%	1
Indoco	0.3	7.1	3%	6.9	-308 bps	-2 bps	8%	85%	4
IPM	0.7	7.8	8%	10.0			12%	9%	

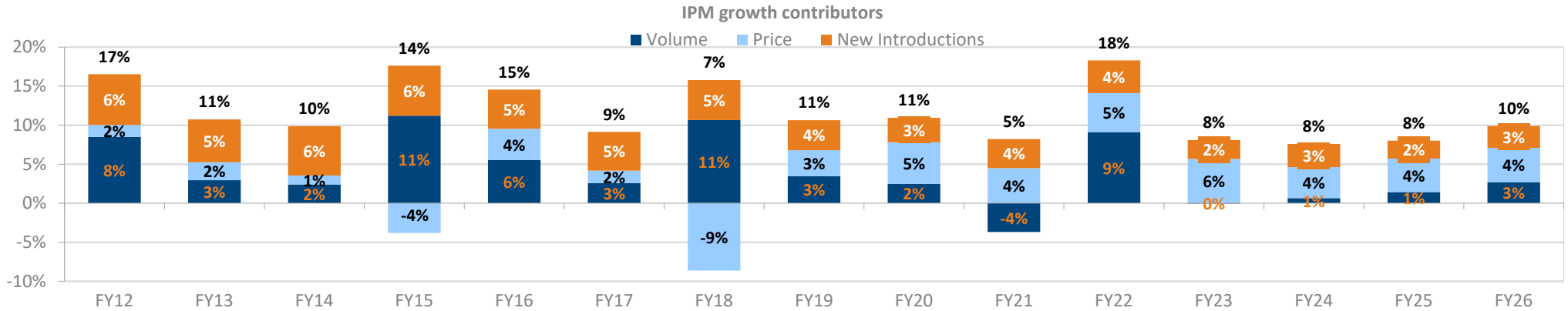
Source: Industry data, IIFL Research, Note: MS – Market Share, NI – New Introductions, Rep – Company reported, SD – Secondary data

Figure 5: Comparative analysis of the India Formulations business across players over FY22-26 (continued)

Company	NLEM/DPCO exposure	Current MRs - FY26 (no)	India sales (Rs Cr, FY26ii rep)	PCPM (Rs lakhs pm)		3-yr PCPM Cagr (%)	India sales Cagr (rep, %)		India sales Cagr (organic, %)	
				FY23	FY26		FY20-26	FY26-28ii	FY20-26	FY26-28ii
Sun	11%	15,109	191,730	8.9	10.6	5.8	12.0	11.7	12.0	11.7
Cipla	27%	9,210	125,572	8.8	8.5	(1.0)	10.9	11.0	10.7	11.0
Mankind	19%	15,055	121,026	6.0	6.7	3.8	13.1	10.6	11.2	10.6
Torrent + JB	7%	9,300	96,591	7.3	8.7	6.0	14.4	11.8	12.4	11.8
Alkem	28%	13,000	98,760	4.4	5.1	4.4	10.4	10.0	10.4	10.0
Torrent	6%	6,900	71,598	7.6	8.6	4.6	12.6	12.0	11.4	12.0
Lupin	15%	8,900	80,540	7.2	7.5	1.4	7.8	10.0	7.8	10.0
Abbott India	20%	3,018	66,979	8.7	11.1	8.6	8.9	8.0	8.9	8.0
Dr. Reddy's	11%	7,600	61,266	5.9	6.7	4.5	13.3	12.0	9.9	12.0
Zydus	19%	7,700	65,153	5.8	7.1	6.4	9.8	11.0	9.8	11.0
Emcure	18%	5,040	41,183	6.4	6.8	2.3	10.0	10.8	7.7	10.0
GSK	41%	2,000	37,360	na	12.5	na	3.8	na	3.8	na
Glenmark	17%	5,600	37,974	7.1	7.3	1.1	2.9	24.9	8.1	10.0
Ipca	14%	7,245	38,120	3.8	4.4	4.7	12.2	12.0	12.2	12.0
Eris	17%	4,120	27,742	4.2	5.6	9.8	17.4	11.5	9.5	11.5
Alembic	15%	5,500	24,677	3.1	3.7	6.2	9.6	7.2	9.6	7.2
FDC	58%	3,600	17,976	na	4.2	na	9.2	na	9.2	na
Sanofi	33%	658	15,115	9.8	19.1	25.0	-5.7	7.0	1.7	7.0
Ajanta	11%	3,750	16,667	na	3.7	na	13.8	na	13.8	na
Corona	9%	2,747	13,334	3.0	4.0	10.1	19.0	15.5	17.4	15.5
Indoco	9%	3,000	8,575	na	2.4	na	3.8	na	3.8	na
IPM	17%			5.9	6.2	1.6	8.5	9.5	8.5	9.5

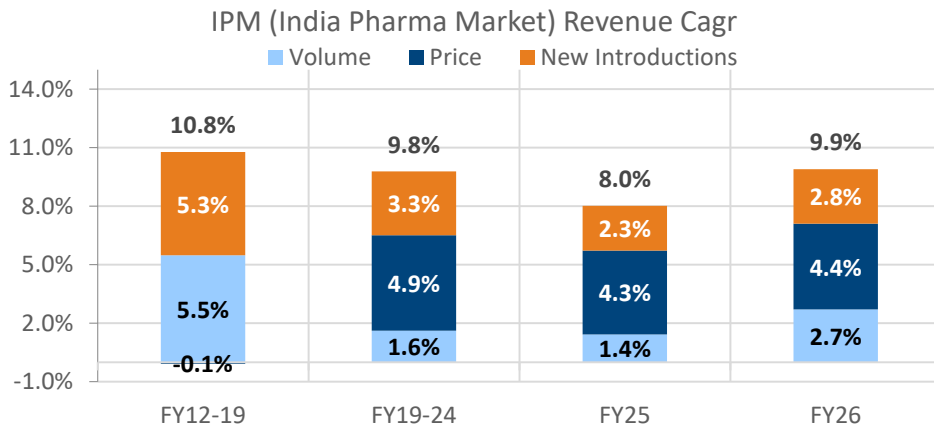
Source: Industry data, IIFL Research, Note: MS – Market Share, NI – New Introductions, Rep – Company reported, SD – Secondary data

Figure 6: While the India Pharma Market (IPM) has been consistently growing at 9-10% Cagr over FY19-26, the industry value growth slowed to 8% Cagr over FY22-25, due to muted growth in the Acute therapies led by tepid price hikes for the NLEM portfolio and some volume impact from generic-generic substitution. However, IPM growth has picked up in FY26 to ~10% YoY, primarily on account of sharp improvement in the Chronic segment growth, while we also note that the Acute segment growth has also picked up



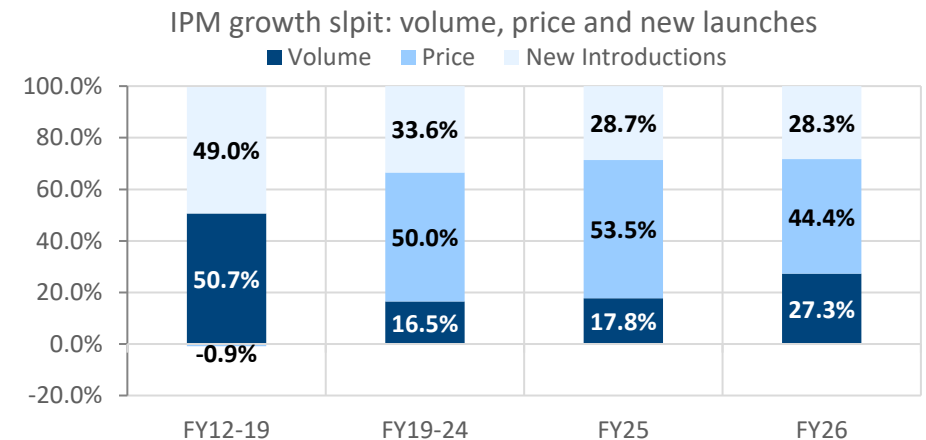
Source: Industry data, IIFL Research

Figure 7: The IPM grew 7.9% Cagr over FY22-25, driven by volume/price/new launches growth of 0.7/4.6/2.6% Cagr resp. FY26 saw a marked shift in the growth drivers with volume growth improving, as ~10% YoY IPM growth in FY26 was driven by volume/price/new launches growth of 2.7/4.4/2.8% resp.



Source: Industry data, IIFL Research

Figure 8: Thereby price-led growth contribution declined by ~500bps in FY26 (~44-45% of industry's growth) vs FY19-25 (~50%), as market volume growth picked up in FY26 (IPM volume growth of 2.7% in FY26 vs 0.7% Cagr over FY22-25)



Source: Industry data, IIFL Research



Figure 9: IPM's 8.5% sales Cagr over FY22-26 was driven by Acute/Chronic/Sub-Chronic growth of 6.7/10.1/9.8% Cagr over the past 4 years

IPM - India acute & chronic sales (Rs Cr)	FY22	FY23	FY24	FY25	FY26	FY22-26 CAGR
Acute	83,130	88,048	94,786	101,365	107,809	6.7%
Chronic	59,013	64,467	70,397	77,489	86,781	10.1%
Sub Chronic	35,363	39,850	43,660	47,620	51,328	9.8%
Total IPM	177,515	192,378	208,855	226,485	245,943	8.5%

Sales Contribution

Acute	46.8%	45.8%	45.4%	44.8%	43.8%
Chronic	33.2%	33.5%	33.7%	34.2%	35.3%
Sub Chronic	19.9%	20.7%	20.9%	21.0%	20.9%

Source: Industry data, IIFL Research

Figure 10: IPM growth over FY22-26 across various therapies – Cardiac (10.9% growth), Neuro/CNS (10.6%), Derma (10.2%), Gynaec (10.7%), and Urology (13.6%) therapies grew faster vs IPM growth of 8.5% Cagr. Growth in Anti-infectives, VMN, Respiratory therapies has been muted at ~3-7.5% Cagr over the past 4 years

IPM Sales by various therapies (Rs Cr)	FY22	FY23	FY24	FY25	FY26	FY26 cont (%)	FY22-26 CAGR
CARDIAC	22,634	24,595	27,173	30,074	34,297	13.9%	10.9%
GASTRO INTESTINAL	20,825	22,980	25,078	27,759	28,894	11.7%	8.5%
ANTI-INFECTIVES	24,671	23,637	24,914	26,407	27,821	11.3%	3.1%
ANTI DIABETIC	16,842	17,700	19,029	20,706	23,051	9.4%	8.2%
VMN	16,298	17,649	19,055	20,444	21,845	8.9%	7.6%
RESPIRATORY	14,713	15,979	16,874	17,330	19,270	7.8%	7.0%
PAIN / ANALGESICS	11,796	13,192	14,540	15,735	16,757	6.8%	9.2%
NEURO / CNS	11,095	12,509	13,768	15,059	16,580	6.7%	10.6%
DERMA	10,806	12,117	13,281	14,810	15,923	6.5%	10.2%
GYNAECOLOGICAL	5,180	6,324	6,956	7,232	7,781	3.2%	10.7%
BLOOD RELATED	5,090	5,611	6,256	6,774	7,260	3.0%	9.3%
ANTI-NEOPLASTICS	3,430	4,494	4,720	5,341	5,810	2.4%	14.1%
OPHTHAL	3,102	3,710	4,124	4,273	4,538	1.8%	10.0%
UROLOGY	2,655	2,995	3,334	3,839	4,424	1.8%	13.6%
HORMONES	2,864	3,037	3,332	3,682	3,933	1.6%	8.3%
VACCINES	1,748	1,700	1,912	2,027	2,434	1.0%	8.6%
STOMATOLOGICALS	1,150	1,280	1,423	1,560	1,696	0.7%	10.2%
OTHERS	1,165	1,324	1,390	1,557	1,680	0.7%	9.6%
SEX STIMULANTS	833	1,014	1,100	1,235	1,294	0.5%	11.6%
ANTI MALARIALS	620	531	595	642	654	0.3%	1.4%
Grand Total	177,515	192,378	208,855	226,485	245,943	100.0%	8.5%

Source: Industry data, IIFL Research; Note: VMN – VITAMINS / MINERALS / NUTRIENTS

Figure 11: Torrent has cornered ~8% sales market share within the ~25% generics market share for Semaglutide in India in 10 days

Molecule	Company	Sales Market share (%)		
		Jan-26	Feb-26	Mar-26
Semaglutide*				
Semaglutide	Novo Nordisk	98%	98%	76%
Semaglutide	Torrent	0%	0%	8%
Semaglutide	Dr. Reddy's	0%	0%	3%
Semaglutide	Zydus	0%	0%	2%
Semaglutide	Lupin	0%	0%	2%
Semaglutide	Sun	0%	0%	2%
Semaglutide	Emcure	2%	2%	1%
Semaglutide	Alkem	0%	0%	1%
Semaglutide	USV	0%	0%	1%
Semaglutide	Eris	0%	0%	1%
Semaglutide	Glenmark	0%	0%	0%
Semaglutide	Natco	0%	0%	0%
Semaglutide	Abbott India	0%	0%	0%
Semaglutide	Mankind	0%	0%	0%
Tirzepatide**				
Tirzepatide	Eli Lilly	86%	86%	87%
Tirzepatide	Cipla	14%	14%	13%

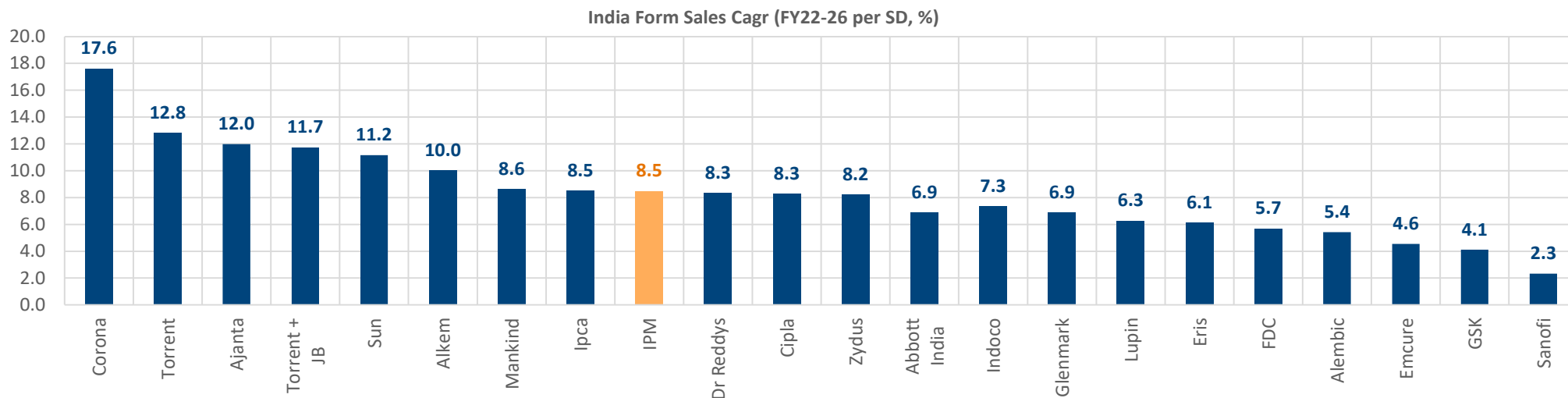
Source: Industry data, IIFL Research; Note: * Both Injectables and Orals, ** Only Injectables

Figure 12: Around 10-12 pharma companies have launched their generic version of Semaglutide in India from Mar'26, with Sema generic pricing being at a 40-80% discount to Novo's Wegovy (2.4mg)

Company Name	Product Name	Delivery System	Approved Indications	Monthly Pricing (per IIFL)	Discount vs Novo	Own or In-licensed	Diabetes/ Obesity	Fill Finish - Own or External	API - Own or External	Pen - India or Outside	Rank in IPM Cardiac (CY25)	Rank in IPM Diabetes (CY25)
Sun Pharma	Noveltreat Sematrinity	Prefilled pen Multi-dose pen	CWM T2D	7,400	-55%	Own	Obesity Diabetes	Own	Own	Outside (Europe)	1	4
Dr Reddy's	Obeda	Prefilled pen	T2D	10,080	-39%	Own	Diabetes	Own + External (OneSource)	Own	Global	14	17
Zydus	SEMAGLYN MASHEMA ALTERME	Reusable pen	CWM & T2D	6,399	-61%	Own	Both	Own + External	Own (likely) + External	Outside	9	23
Torrent (Zydus)	Semalix	Oral	CWM & T2D			Own	Both	Own	External		2	10
	Semboic	Reusable pen	CWM & T2D	6,399	-61%	In-Licensed (Zydus)	Both	External (Zydus)	External (Zydus)	External (Zydus)		
Lupin (Zydus)	Semanext/ Livarise	Reusable pen	CWM & T2D	6,399	-61%	In-Licensed (Zydus)	Both	External (Zydus)	External (Zydus)	External (Zydus)	3	3
Natco	SEMANAT	Multi-dose Vials						Own	External		No presence	No presence
	SEMAFULL	Pen (to launch in Apr)	T2D	5,400	-67%	Own	Diabetes	External (OneSource)	External	India (likely)	Out-licensed to Eris/Glenmark	
Eris (Natco)	SUNDAE	Multi-dose Vials Pen (to launch in Apr)	T2D	5,400	-67%	In-Licensed (Natco)	Diabetes	External (Natco)	External (Natco)		22	5
Alkem	Semasize	Prefilled/Reusable pen										
	Obesema	Prefilled/Reusable pen	CWM & T2D	3,500	-79%	Own	Both	Own + External	External (likely)	India	29	15
	Hepaglide	Prefilled/Reusable pen										
Glenmark (Natco)	GLIPIQ	Multi-dose Vials Prefilled pen	T2D T2D	5,400	-67%	In-Licensed (Natco)	Diabetes	External (Natco)	External (Natco)		5	21
Emcure (Novo)	Poviztra	Prefilled pen	CWM	15,000	-9%	In-Licensed (Novo)	Obesity	External (Novo)	External (Novo)		11	16
Novo	Wegovy	Prefilled pen	CWM	16,400	0%		Obesity					

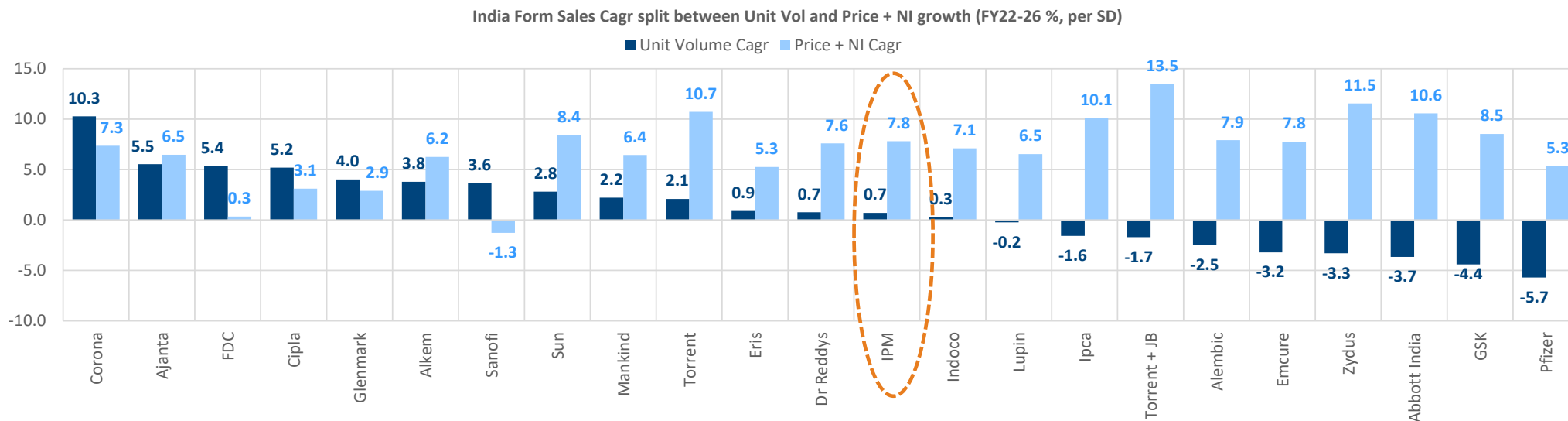
Source: Company, CDSCO, IIFL Research; Sema monthly pricing based on 2.4mg maintenance dose

Figure 13: While the IPM clocked an 8.5% sales Cagr over FY22-26, CORONA, Torrent + JB, Ajanta, Sun and Alkem have significantly outperformed IPM value growth over the past 4 years



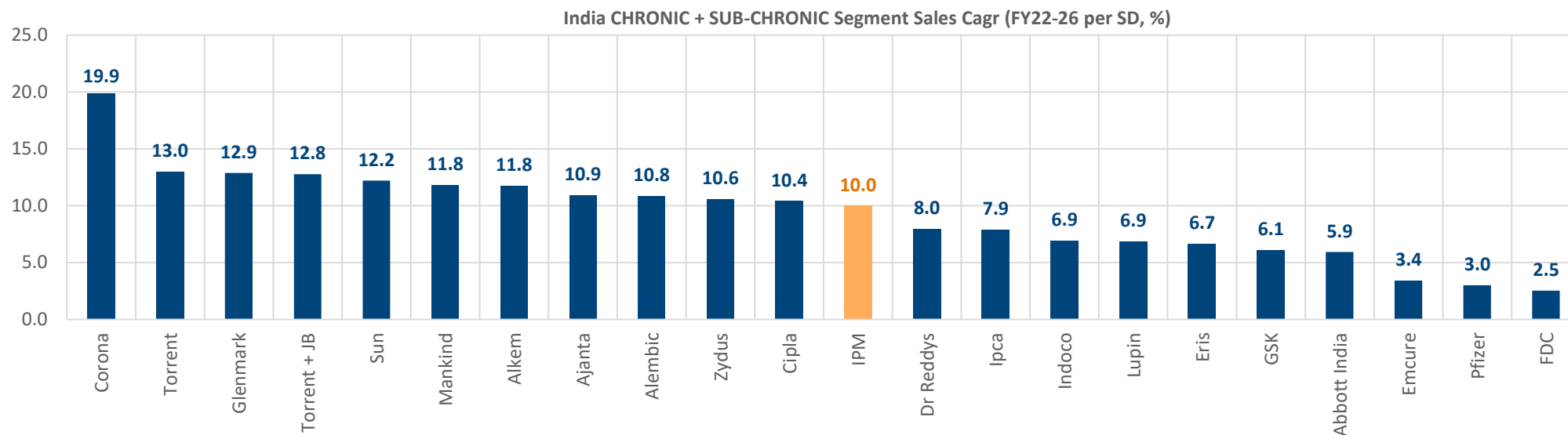
Source: Industry data, IIFL Research; Note: SD – Secondary Data

Figure 14: IPM's 8.5% sales Cagr over FY22-26 was driven by volume growth of 0.7% Cagr and new launches + price increases of 7.8% Cagr. CORONA, Ajanta, Cipla, Glenmark and Alkem have significantly outperformed IPM volume growth, with volume growth of these companies being at ~4-10% Cagr. Sun and Torrent have also seen healthy volume growth of ~2-3% Cagr



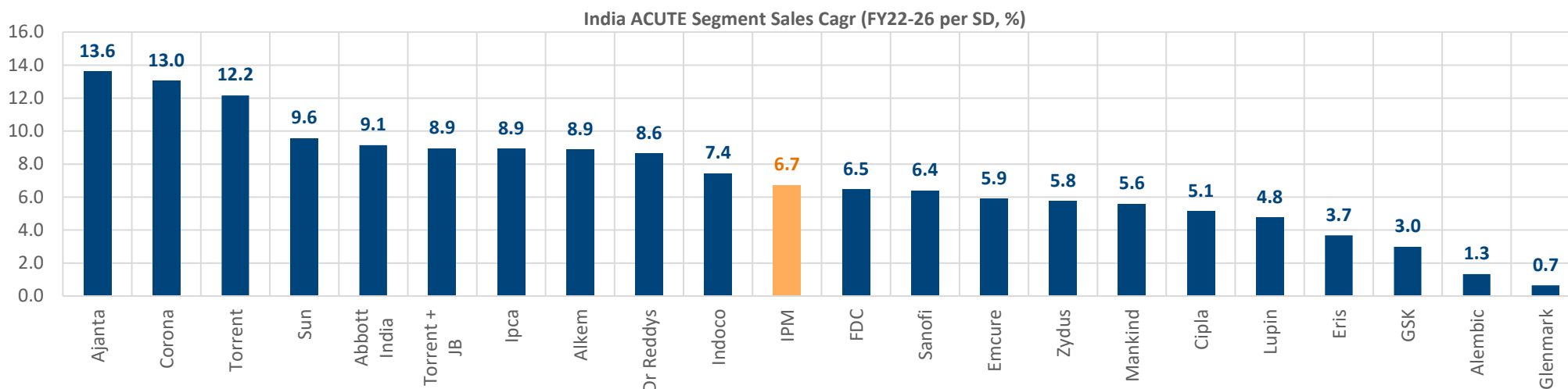
Source: Industry data, IIFL Research

Figure 15: CORONA, Torrent + JB, Glenmark, Sun, Mankind and Alkem have significantly outperformed the Chronic and Sub-Chronic market growth of 10% Cagr over FY22-26



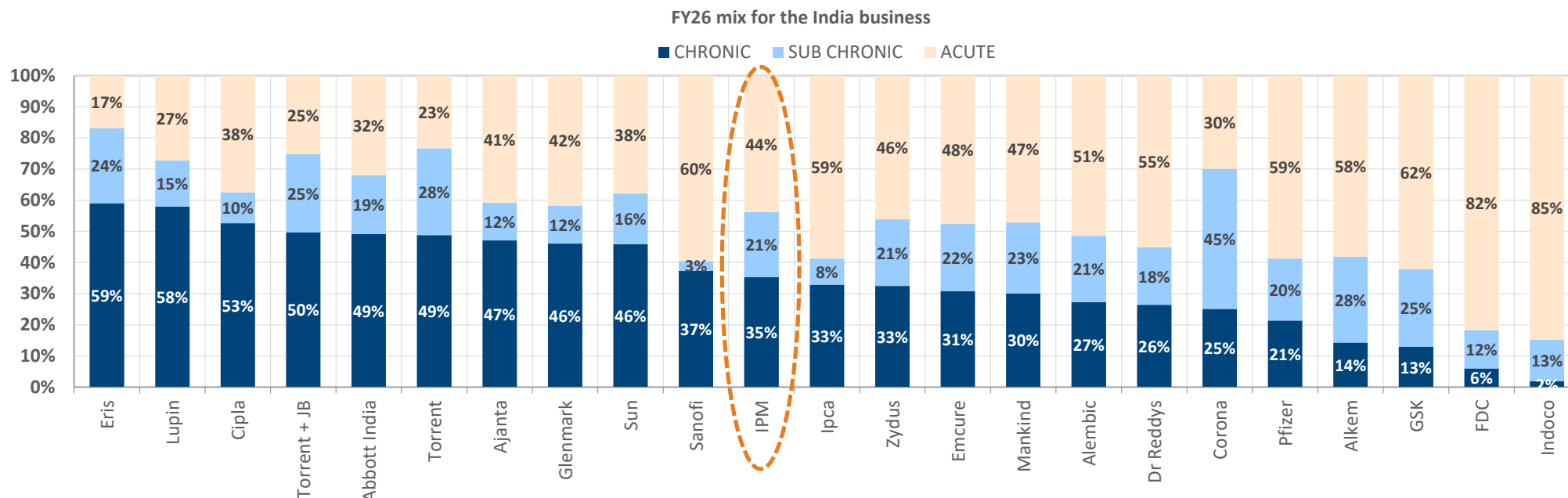
Source: Industry data, IIFL Research

Figure 16: Ajanta, CORONA, Torrent, Sun, Ipca, and Alkem have significantly outperformed the Acute market growth of 6.7% Cagr over FY22-26



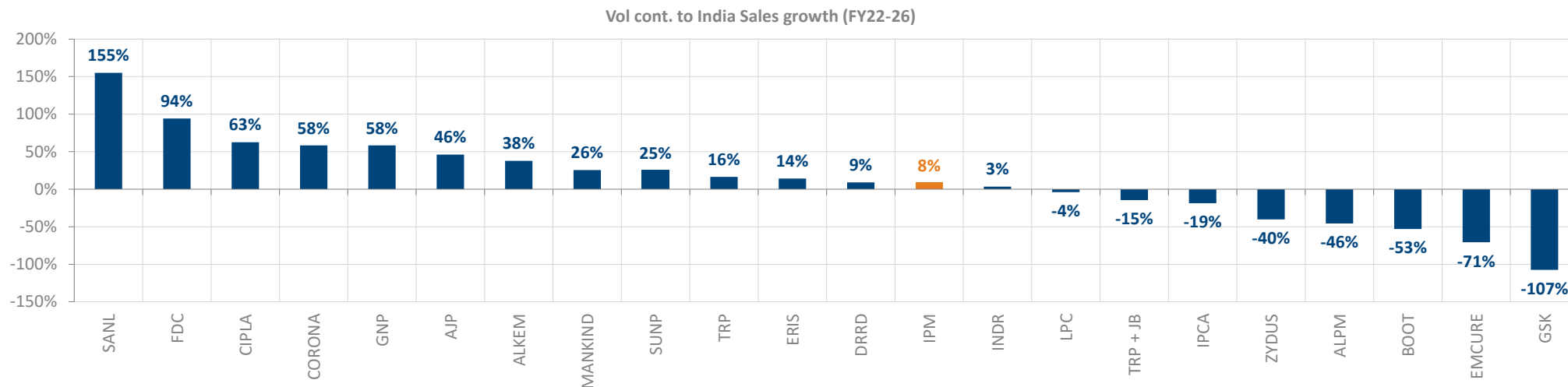
Source: Industry data, IIFL Research

Figure 17: While the faster-growing Chronic and Sub-Chronic therapies account for ~56% of the IPM, few companies such as Eris, Torrent + JB, Lupin, CORONA, Abbott, Cipla, and Sun Pharma derive ~62-83% of their overall India Formulations sales from Chronic and Sub-Chronic segments



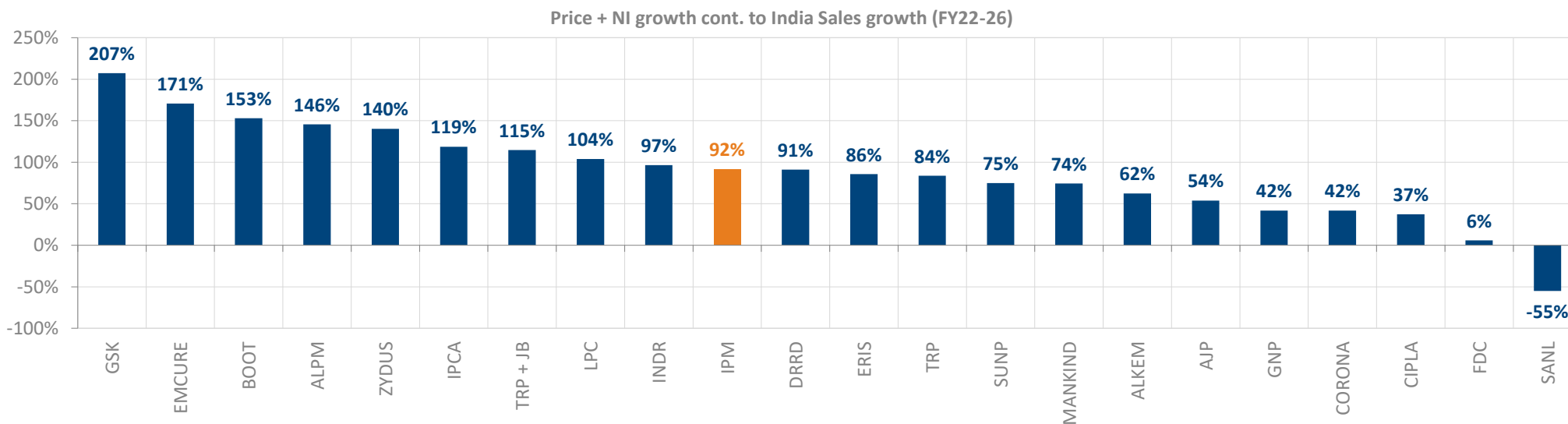
Source: Industry data, IIFL Research

Figure 18: Volume growth has accounted for 40-60% of the India business growth for CORONA, Ajanta, Cipla, Glenmark, and Alkem over FY22-26 vs 8% for the IPM

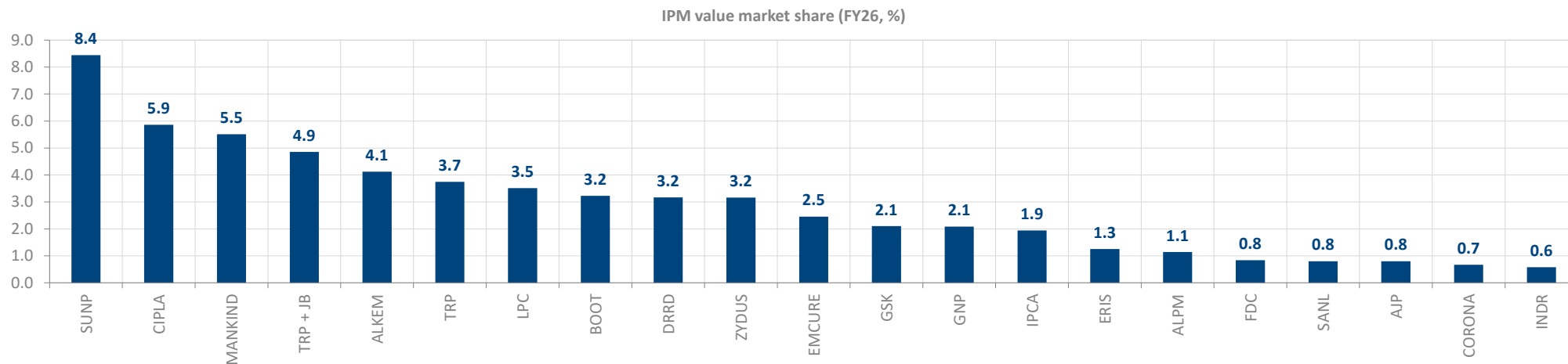


Source: Industry data, IIFL Research

Figure 19: Price + new launches growth has accounted for 115-155% of the India business growth for Torrent + JB, Zydus, Abbott and Ipca over FY22-26 vs 92% for the IPM

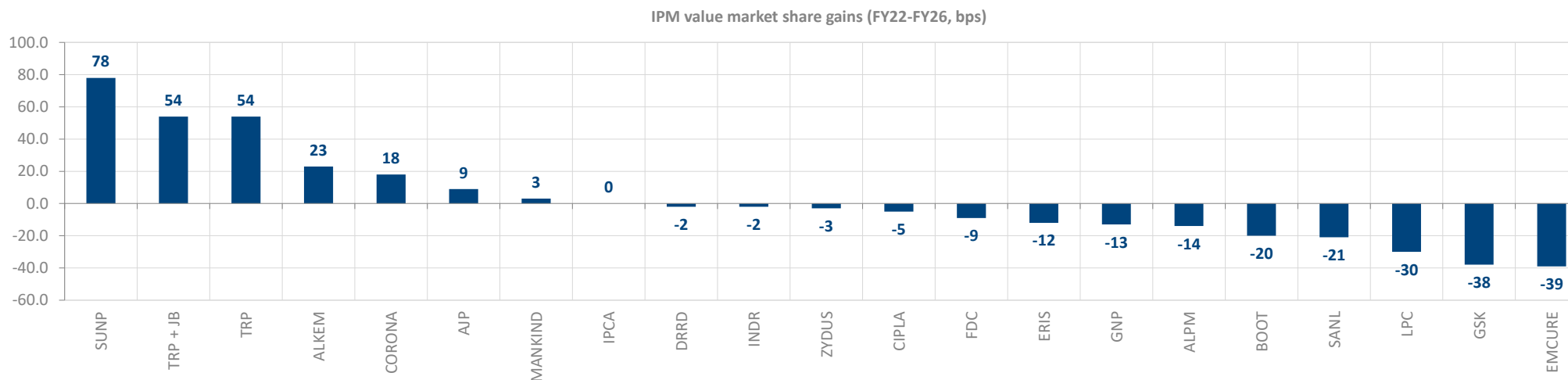


Source: Industry data, IIFL Research

Figure 20: Value market share of various players in the Domestic Pharma Market


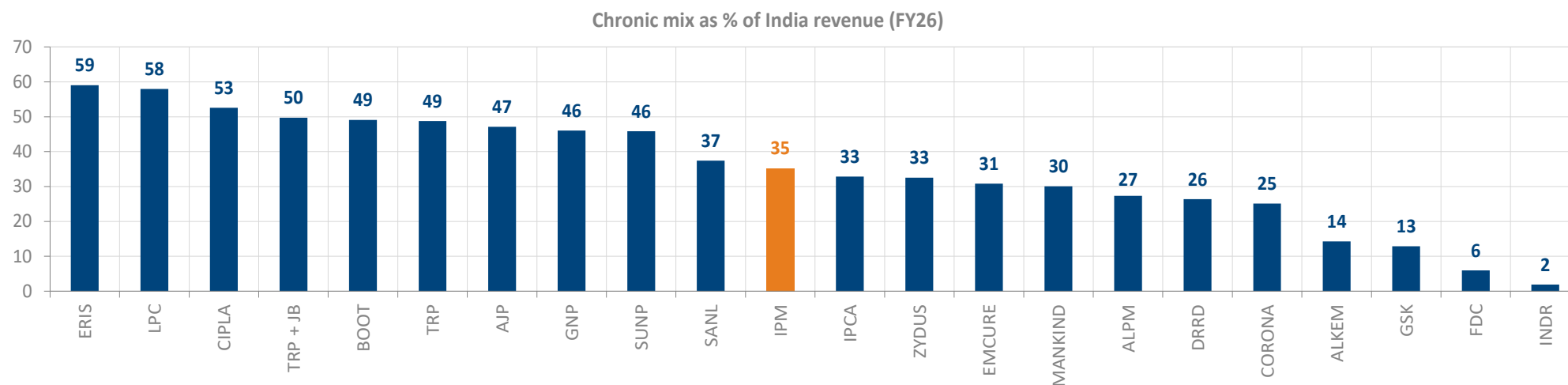
Source: Industry data, IIFL Research

Figure 21: Strong volume and price + new launches growth has driven market share (MS) gains for Sun, Torrent + JB, CORONA, Ajanta, and Alkem thereby allowing them to significantly outperform IPM value growth. Volume driven as well as price + new launches driven outperformance has led to ~80bps gain in overall MS for Sun over FY22-26, while price + new launches driven outperformance has led to ~55bps gain in MS for Torrent + JB, and volume driven outperformance has led to ~10-25bps gains in MS for Alkem, CORONA, and Ajanta



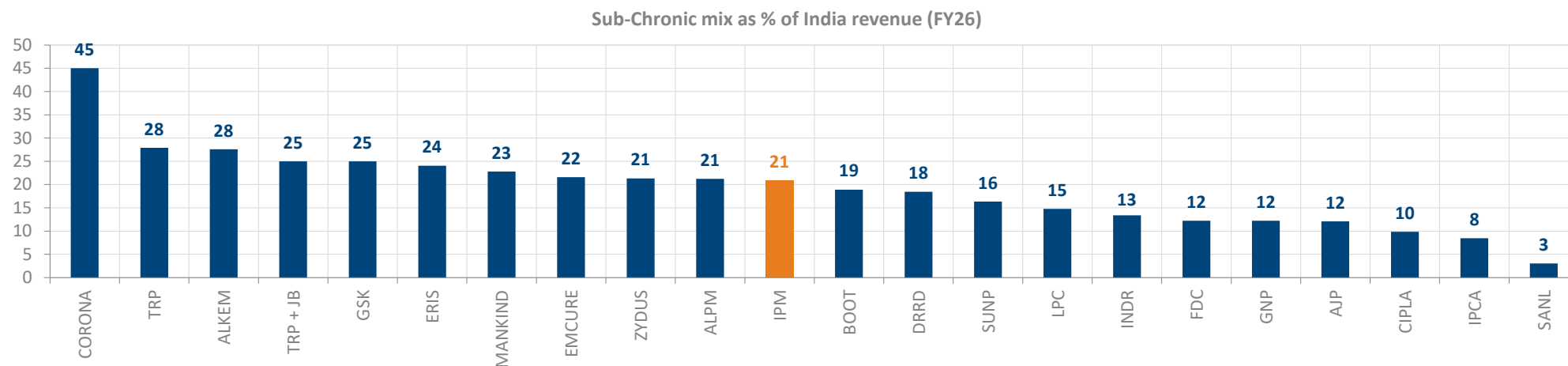
Source: Industry data, IIFL Research

Figure 22: While the faster-growing Chronic therapies account for ~35% of the IPM, few companies such as Eris, Lupin, Cipla, Torrent + JB, Ajanta, Glenmark, and Sun Pharma derive ~45-60% of their overall India Formulation sales from Chronic segments



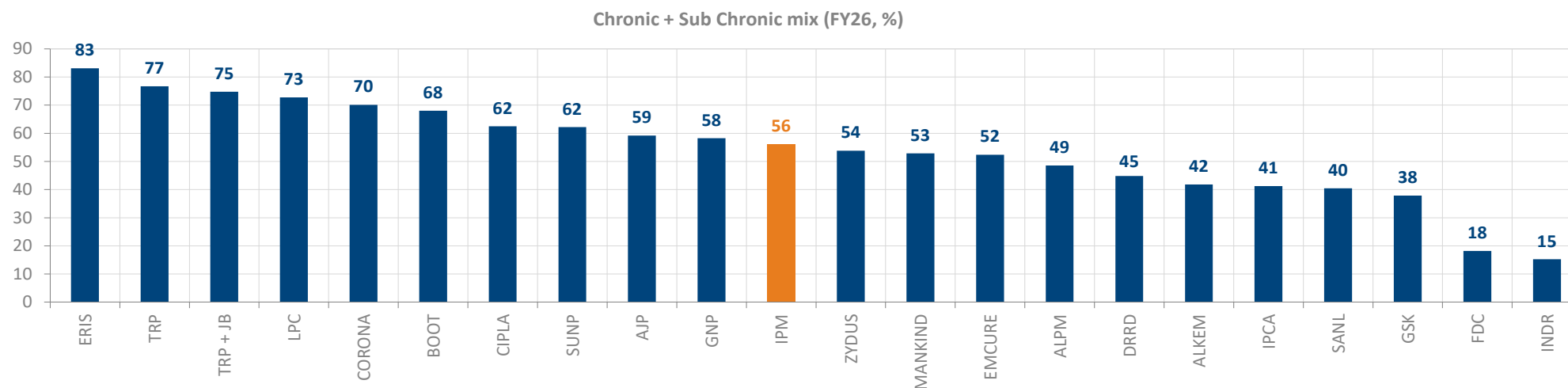
Source: Industry data, IIFL Research

Figure 23: Similarly, while the faster-growing Sub-Chronic therapies account for ~21% of the IPM, few companies such as CORONA, Alkem, Torrent + JB, and GSK derive ~25-45% of their overall India Formulation sales from the Sub-Chronic segments



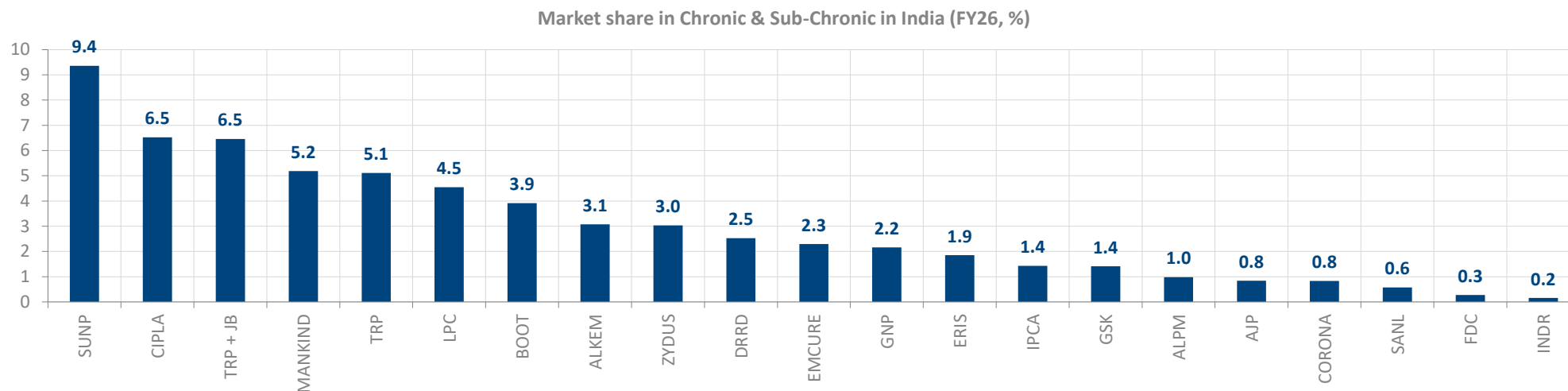
Source: Industry data, IIFL Research

Figure 24: While the faster-growing Chronic and Sub-Chronic therapies account for ~56% of the IPM, few companies such as Eris, Torrent + JB, Lupin, CORONA, Abbott, Cipla, and Sun Pharma derive ~62-83% of their overall India Formulations sales from Chronic and Sub-Chronic segments



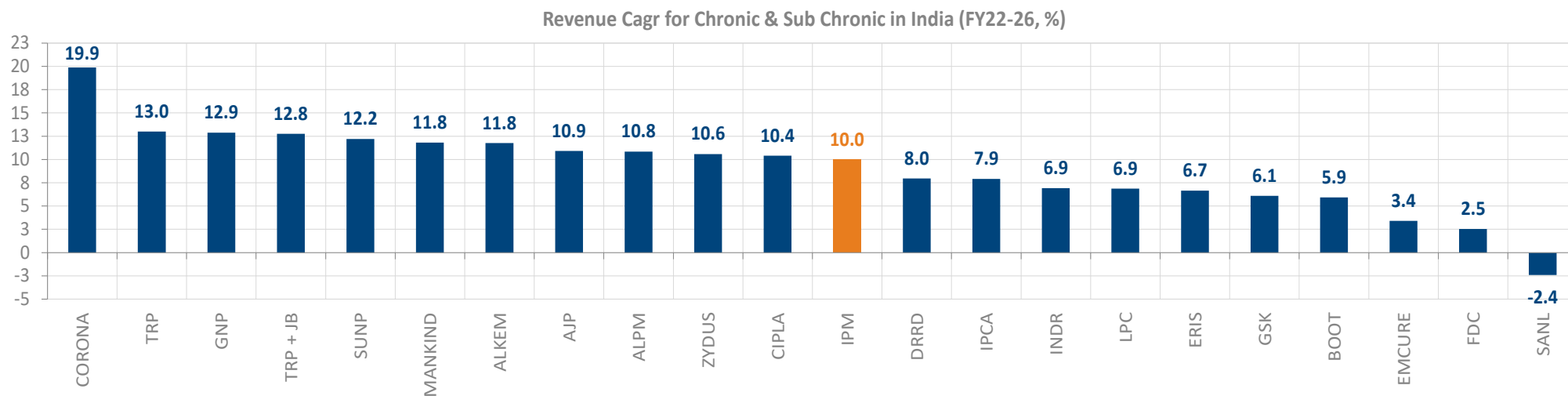
Source: Industry data, IIFL Research

Figure 25: Sun, Cipla, Torrent + JB, Mankind, and Lupin continue to dominate the Chronic and Sub-Chronic therapies in India



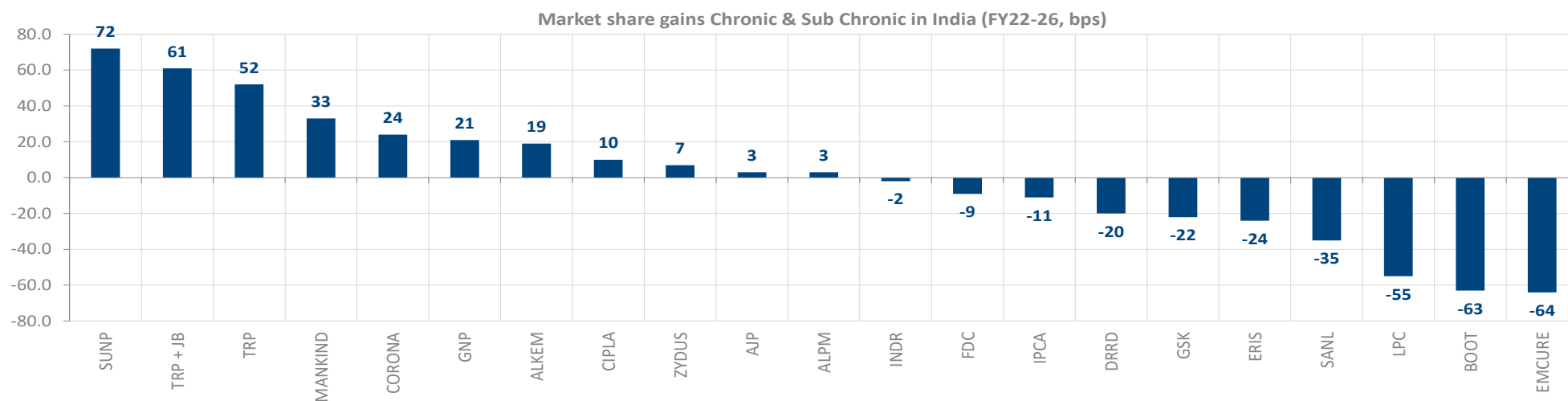
Source: Industry data, IIFL Research

Figure 26: Although Chronic and Sub-Chronic therapies have grown at ~10% Cagr over FY22-26, CORONA, Torrent + JB, Glenmark, Sun, Mankind and Alkem have significantly outperformed the Chronic and Sub-Chronic market growth in India, with their Chronic and Sub-Chronic portfolios growing at 20%, 13%, 13%, 12%, 12%, and 12% Cagr resp. over FY22-26, thereby outperforming the Chronic and Sub-Chronic market growth by 200-300bps. CORONA's outperformance in the Chronic and Sub-Chronic segment has been ~1,000bps over FY22-26



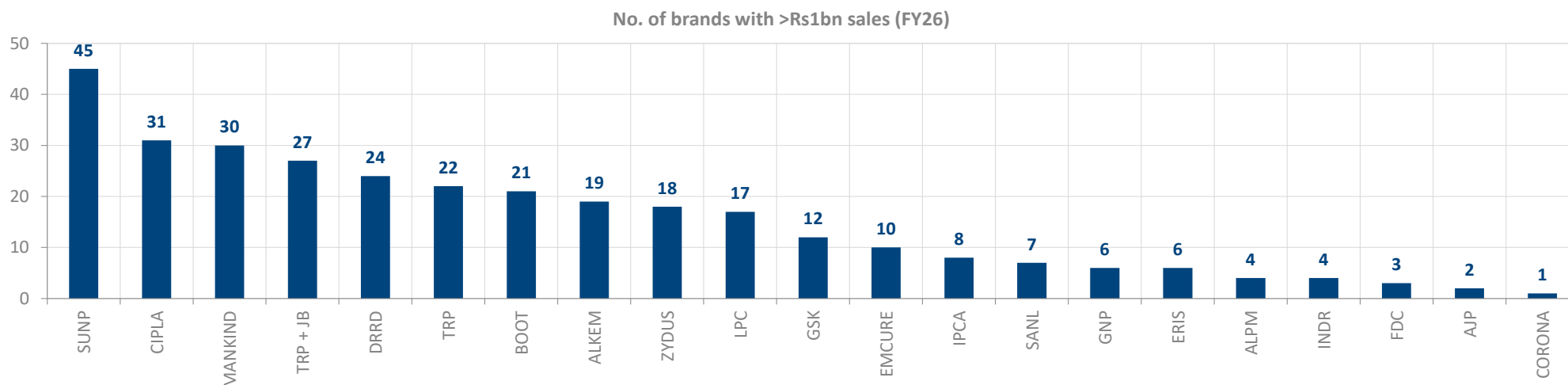
Source: Industry data, IIFL Research

Figure 27: Ramp-up in the Chronic/Sub-Chronic portfolio and outperformance vs the Chronic/Sub-Chronic market has led to Sun and Torrent + JB gaining ~60-70bps MS in the Chronic and Sub-Chronic therapies over FY22-26, while Mankind, CORONA, Glenmark and Alkem have gained 20-30bps MS in the Chronic and Sub-Chronic therapies over the past 4 years



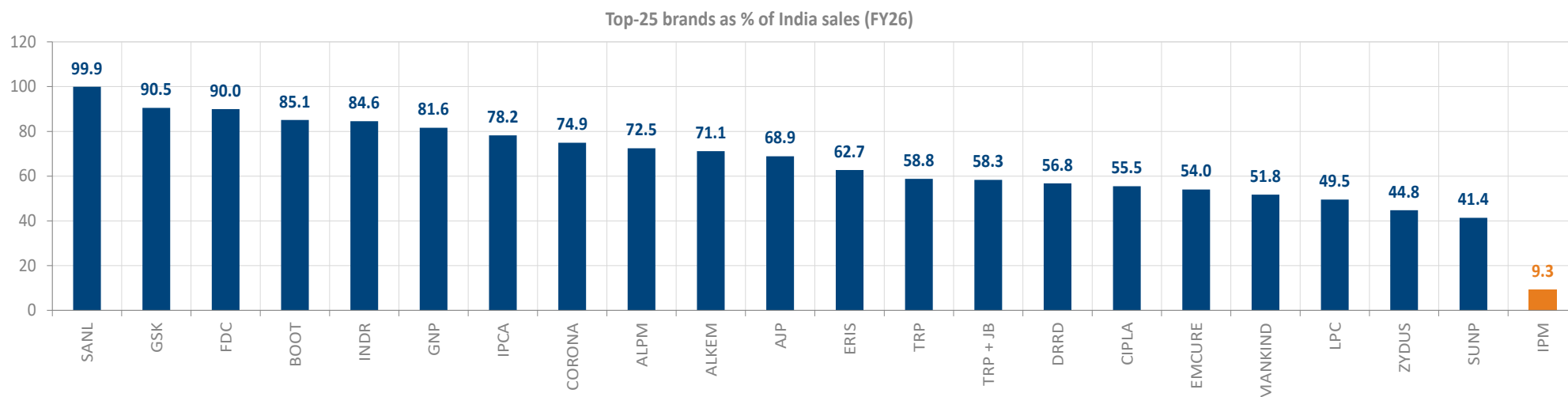
Source: Industry data, IIFL Research

Figure 28: Sun has 45 mother brands with sales of >Rs1bn each, while Cipla, Mankind and Torrent + JB have 27-31 brands with sales of >Rs1bn each. Lupin, Alkem and Zydus seems under-indexed on this front vis-à-vis their overall rankings in the market and have only 17-19 brands in the >Rs1bn sales club



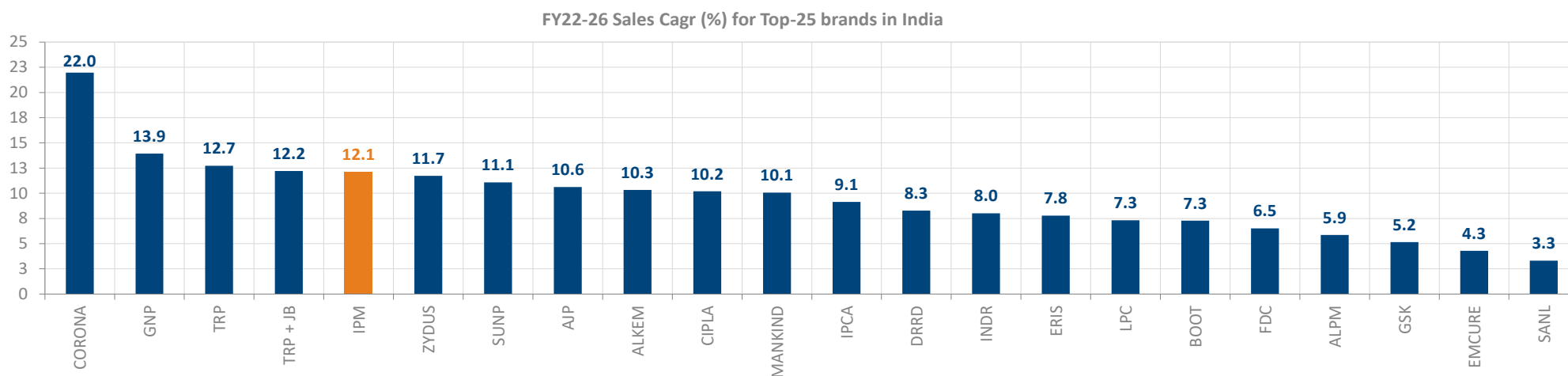
Source: Industry data, IIFL Research

Figure 29: Sun, Zydus, Lupin, and Mankind have the most diversified product portfolio in the India Pharma Market, with top-25 mother brands accounting for ~40-50% of the domestic sales for these four companies vs an average of ~68% for the 21 pharma companies analysed in this report



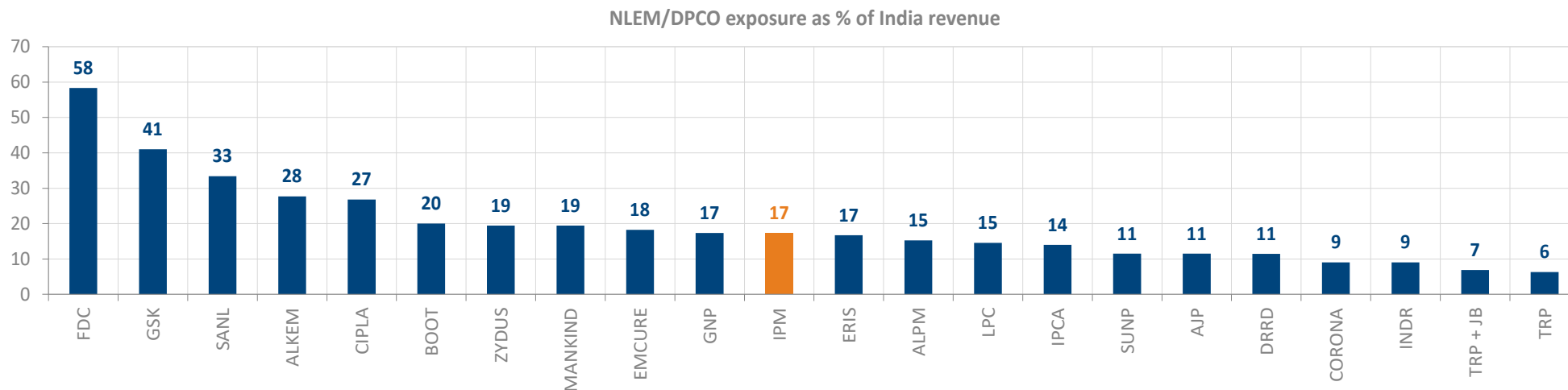
Source: Industry data, IIFL Research

Figure 30: While high product-concentration is a risk for CORONA, Glenmark, and Ipca, and we assign low-scores to these companies on this metric, we note that the top-25 mother brands for CORONA and Glenmark have still grown at 22% and 14% Cagr resp. over FY22-26 vs the industry average growth of 10% Cagr for the top-25 mother brands



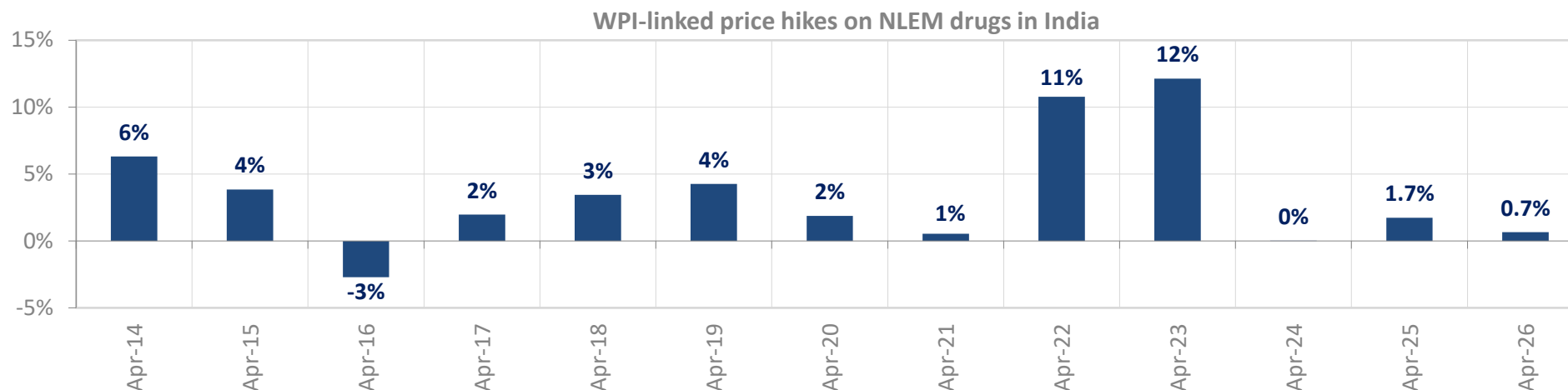
Source: Industry data, IIFL Research

Figure 31: While the price-controlled NLEM/DPCO drug portfolio accounts for 17% of the overall IPM sales, most of the Chronic and Sub-Chronic heavy companies such as Torrent + JB, CORONA, Sun, Dr. Reddy's, Ajanta and Lupin have relatively low NLEM revenue exposure of only 7-15%. NLEM revenue exposure is the highest for FDC, GSK, Sanofi, Alkem, and Cipla which would again drive relatively muted Acute growth for these companies in FY27



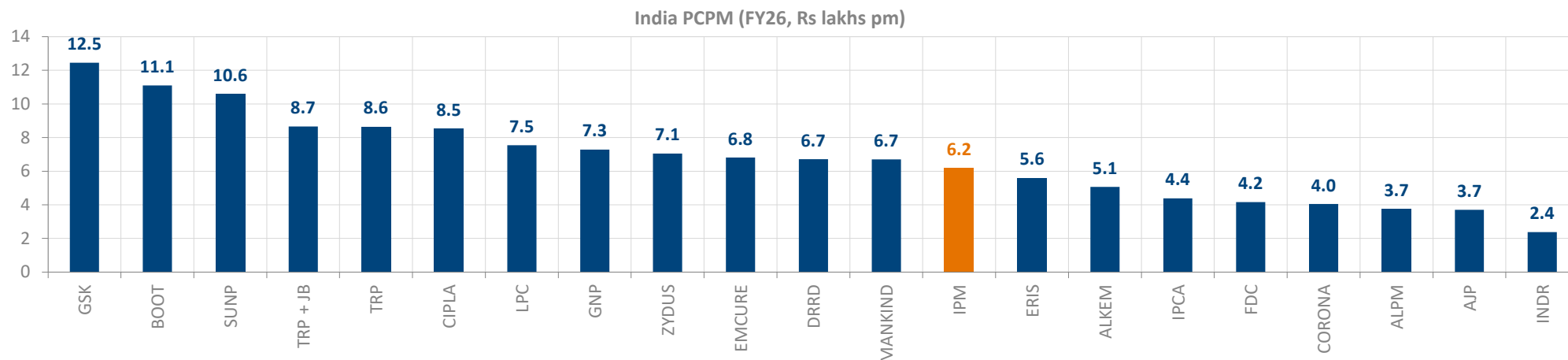
Source: Industry data, IIFL Research

Figure 32: NLEM price increases for FY25-27 has been virtually nil vs price increases of 11-12% on the NLEM portfolio in FY23/FY24. We note that FY27 will again likely be a relatively muted growth year for the domestic business of all Acute-heavy companies that have high exposure to the NLEM portfolio including FDC, GSK, Sanofi, Alkem, and Cipla



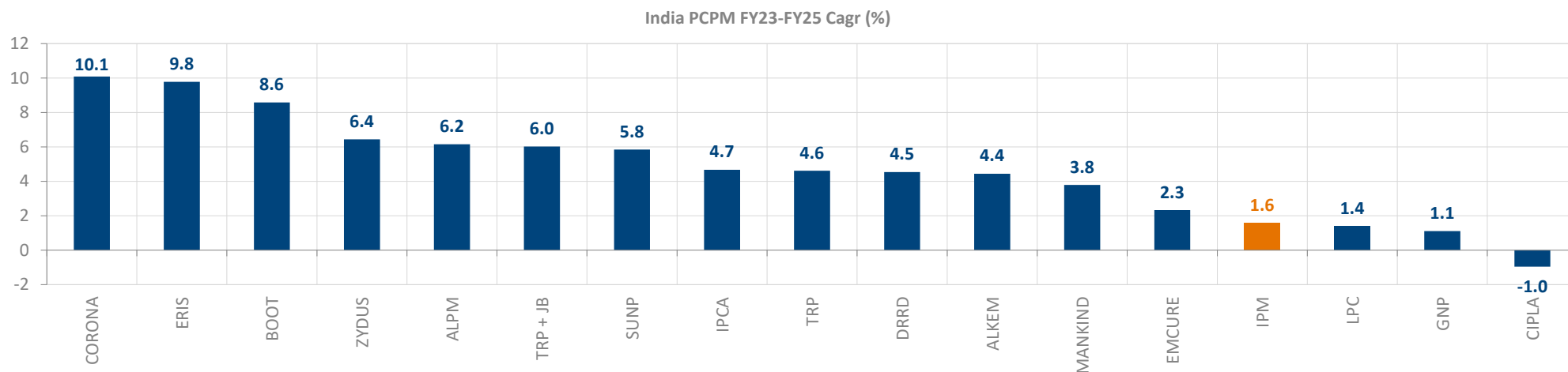
Source: Industry data IIFL Research

Figure 33: With Sun, Torrent + JB, Cipla, and Lupin deriving ~45-60% of their India sales from Chronic products (vs 35% for the IPM) and ~62-75% of their India sales from Chronic + Sub-Chronic products (vs 56% for the IPM), these four companies have the highest PCPM in India (ex-MNCs) at Rs7.5-10.5lakhs pm vs industry-average of Rs6lakhs pm (ex-MNCs) in FY26



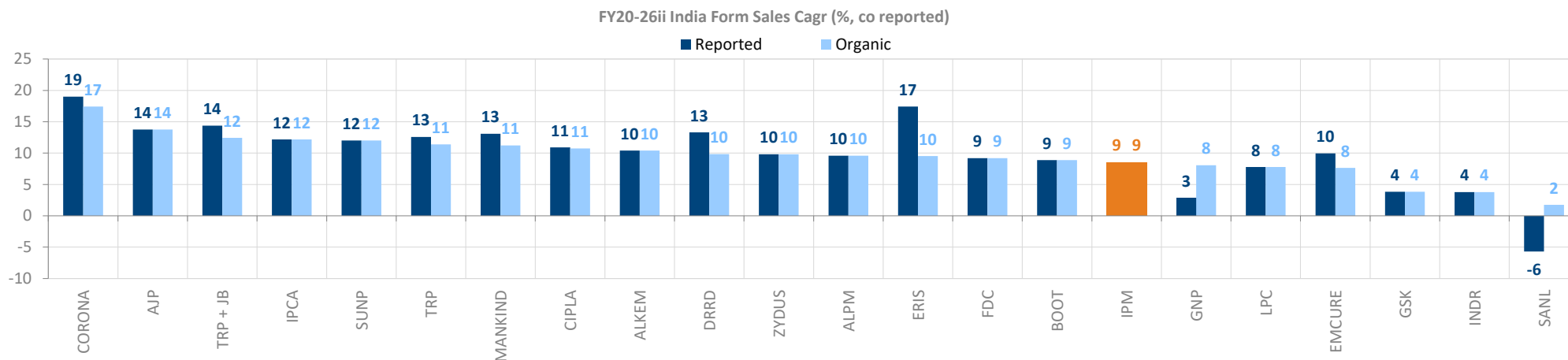
Source: Industry data, IIFL Research

Figure 34: In terms of productivity improvements over the past 3-year period, CORONA and Eris have delivered the highest India PCPM Cagr of 10% over FY23-26ii. Zydus, Alembic, Torrent + JB, and Sun have also delivered India PCPM Cagr of 6-6.5% Cagr over FY23-26ii



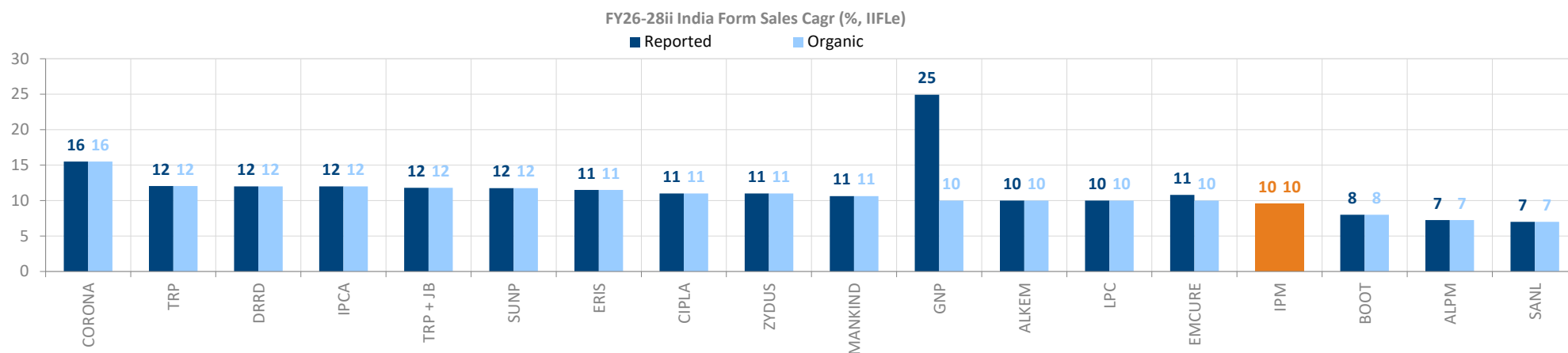
Source: Industry data, IIFL Research

Figure 35: While the IPM clocked an 8.5% revenue Cagr over FY20-26ii, CORONA delivered organic India business growth of 17% Cagr (primary sales) over FY20-26ii. In comparison, Torrent + JB, Sun, and Ipca delivered 12% Cagr, while Mankind and Cipla delivered 10.5-11% Cagr over the same period



Source: Industry Data, IIFL Research

Figure 36: We expect CORONA's India business to continue its robust growth momentum of ~15-16% organic revenue Cagr over FY26-28ii, while we project Torrent + JB, Sun and Ipca's India businesses to also grow strongly at ~12% Cagr over FY26-28ii driven by a strong focus on volume-led growth and further scale-up in the Chronic and Sub-Chronic portfolios of these companies



Source: Industry Data, IIFL Research

Figure 37: IIFL's Pharma Valuation matrix – Our preferred picks in the Dom Form Pharma sector are Torrent/JB Pharma, Alkem, and CORONA, given their strong India/BGx businesses and limited exposure to the US generics market. We also like Sai Life and Alembic from the Pharma sector

Company name	CMP (Rs)	Mkt-Cap (US\$ m)	Reco	TP (Rs)	Upside/ Downside	Diluted EPS excl exceptionals				FY26-28ii EPS Cagr	PE (x)			EV/EBITDA (x)		
						FY25	FY26ii	FY27ii	FY28ii		FY26ii	FY27ii	FY28ii	FY26ii	FY27ii	FY28ii
Sun Pharma	1,779	49,452	ADD	1950	10%	49.9	50.7	55.4	63.8	12%	35.1	32.1	27.9	24.4	22.0	19.4
Lupin	2,311	12,228	ADD	2380	3%	78.1	120.4	107.1	105.2	-7%	19.2	21.6	22.0	13.1	13.9	14.6
Dr. Reddy's	1,330	12,886	REDUCE	1200	-10%	67.7	61.5	52.1	62.4	1%	21.6	25.5	21.3	13.7	15.1	12.8
Aurobindo	1,397	9,401	BUY	1370	-2%	60.0	61.2	79.5	89.7	21%	22.8	17.6	15.6	11.7	9.5	8.6
Cipla	1,318	12,341	ADD	1400	6%	62.7	53.3	56.6	68.2	13%	24.7	23.3	19.3	15.7	14.7	12.4
Zydus Lifesciences	911	10,620	ADD	1000	10%	46.3	48.1	39.9	48.7	1%	19.0	22.9	18.7	13.1	13.9	11.6
Divi's Labs	6,534	20,099	REDUCE	5900	-10%	82.5	97.6	107.9	127.7	14%	67.0	60.6	51.2	48.6	41.4	35.0
Cohance	468	2,073	BUY	410	-12%	14.3	6.3	8.7	12.2	39%	74.3	53.8	38.5	38.0	29.2	22.5
Sai Life Sciences	1,055	2,630	BUY	1145	9%	9.2	16.8	19.6	23.9	20%	63.0	53.9	44.1	39.8	29.5	24.1
Gland Pharma	1,756	3,356	ADD	1900	8%	43.1	59.7	77.4	95.7	27%	29.4	22.7	18.4	16.4	13.3	11.3
Concord Biotech	1,135	1,375	BUY	1270	12%	35.5	25.6	32.1	39.1	23%	44.2	35.4	29.0	29.6	24.1	19.6
Torrent Pharma	4,232	16,595	BUY	5000	18%	57.8	73.3	88.4	105.5	20%	57.7	47.9	40.1	33.3	29.5	26.2
Mankind Pharma	2,257	10,818	ADD	2300	2%	48.1	43.0	51.0	63.2	21%	52.5	44.3	35.7	28.4	25.0	21.8
Glenmark Pharma	2,414	7,893	ADD	2200	-9%	47.0	(10.8)	82.0	95.2	NA	NA	29.5	25.3	70.0	18.4	16.3
Alkem	5,344	7,404	BUY	6300	18%	181.1	209.3	187.1	234.5	6%	25.5	28.6	22.8	19.8	17.5	15.1
Biocon	362	6,817	ADD	430	19%	1.2	2.7	9.3	12.1	112%	135.0	39.0	30.0	19.6	15.1	12.7
Alembic Pharma	761	1,734	BUY	920	21%	29.0	33.9	36.6	47.0	18%	22.5	20.8	16.2	13.6	11.8	9.8
IPCA	1,545	4,542	ADD	1590	3%	35.1	46.5	55.3	66.2	19%	33.2	28.0	23.3	19.1	16.1	13.8
JB Pharma	2,067	3,845	BUY	2550	23%	42.0	47.0	61.4	78.1	29%	44.0	33.7	26.5	26.4	22.8	17.5
Eris Lifesciences	1,318	2,079	BUY	1605	22%	25.8	35.2	42.1	52.4	22%	37.5	31.3	25.1	17.6	15.6	13.6
CORONA Remedies	1,690	1,198	BUY	1685	0%	24.4	32.0	40.0	51.2	27%	52.9	42.2	33.0	34.4	28.4	23.4
Abbott India	25,510	6,281	SELL	27890	9%	665.6	736.5	822.0	965.0	14%	34.6	31.0	26.4	26.4	23.8	20.9
Sanofi India	3,435	917	REDUCE	3520	2%	152.6	153.7	158.3	174.8	7%	22.3	21.7	19.7	15.5	14.9	14.0

Source: Company, IIFL Research

Figure 38: Ex-Revlimid valuations for the key Export Pharma players

Company name	Diluted EPS excl exceptionals				FY26-28ii EPS Cagr	PE(x)		
	FY25	FY26ii	FY27ii	FY28ii		FY26ii	FY27ii	FY28ii
Sun Pharma	49.9	50.7	55.4	63.8	12%	35.1	32.1	27.9
Sun - Revlimid	2.6	1.2	0.0	0.0				
Sun - Base biz	47.4	49.5	55.4	63.8	13%	35.9	32.1	27.9
Dr. Reddy's	67.7	61.5	52.1	62.4	1%	21.6	25.5	21.3
Dr. Reddy's - Revlimid	38.0	21.5	0.1	0.1				
Dr. Reddy's - Base biz	29.7	40.1	52.0	62.4	25%	33.2	25.5	21.3
Cipla	62.7	53.3	56.6	68.2	13%	24.7	23.3	19.3
Cipla - Revlimid	14.0	7.0	0.0	0.0				
Cipla - Base biz	48.7	46.3	56.6	68.2	21%	28.5	23.3	19.3
Zydus	46.3	48.1	39.9	48.7	1%	19.0	22.9	18.7
Zydus - Revlimid	5.9	5.3	0.0	0.0				
Zydus - Base biz	40.4	42.7	39.8	48.6	7%	21.3	22.9	18.7
Aurobindo	60.0	61.2	79.5	89.7	21%	22.8	17.6	15.6
Aurobindo - Revlimid	7.9	0.4	0.0	0.0				
Aurobindo - Base biz	52.2	60.7	79.5	89.7	22%	23.0	17.6	15.6

Source: Company, IIFL Research

Figure 39: Ex-amortisation valuations for the key Domestic Pharma players

Company name	Diluted EPS excl exceptionals				FY26-28ii EPS Cagr	PE(x)		
	FY25	FY26ii	FY27ii	FY28ii		FY26ii	FY27ii	FY28ii
Torrent	57.8	73.3	88.4	105.5	20%	57.7	47.9	40.1
Amortisation impact	11.5	11.5	11.5	11.5				
Torrent - Ex amortisation	69.3	84.8	99.9	116.9	17%	49.9	42.4	36.2
Mankind	48.1	43.0	51.0	63.2	21%	52.5	44.3	35.7
Amortisation impact	7.0	9.1	9.1	9.1				
Mankind - Ex amortisation	55.1	52.1	60.0	72.2	18%	43.3	37.6	31.2
JB Pharma	42.0	47.0	61.4	78.1	29%	44.0	33.7	26.5
Amortisation impact	3.6	3.5	0.9	0.9				
JB - Ex amortisation	45.6	50.5	62.2	79.0	25%	40.9	33.2	26.2
Eris Lifesciences	25.8	35.2	42.1	52.4	22%	37.5	31.3	25.1
Amortisation impact	11.5	11.5	11.7	11.9				
Eris - Ex amortisation	37.4	46.7	53.8	64.3	17%	28.2	24.5	20.5
CORONA Remedies	24.4	32.0	40.0	51.2	27%	52.9	42.2	33.0
Alkem	181.1	209.3	187.1	234.5	6%	25.5	28.6	22.8
Ipca	35.1	46.5	55.3	66.2	19%	33.2	28.0	23.3
Abbott India	665.6	736.5	822.0	965.0	14%	34.6	31.0	26.4
Sanofi India	152.6	153.7	158.3	174.8	7%	22.3	21.7	19.7

Source: Company, IIFL Research

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Key to our recommendation structure

BUY - Stock expected to give a return 10%+ more than average return on a debt instrument over a 1-year horizon.

SELL - Stock expected to give a return 10%+ below the average return on a debt instrument over a 1-year horizon.

Add - Stock expected to give a return 0-10% over the average return on a debt instrument over a 1-year horizon.

Reduce - Stock expected to give a return 0-10% below the average return on a debt instrument over a 1-year horizon.

Distribution of Ratings: Out of 315 stocks rated in the IIFL coverage universe, 177 have BUY ratings, 7 have SELL ratings, 94 have ADD ratings, 0 have NR ratings and 36 have REDUCE ratings

Price Target: Unless otherwise stated in the text of this report, target prices in this report are based on either a discounted cash flow valuation or comparison of valuation ratios with companies seen by the analyst as comparable or a combination of the two methods. The result of this fundamental valuation is adjusted to reflect the analyst's views on the likely course of investor sentiment. Whichever valuation method is used there is a significant risk that the target price will not be achieved within the expected timeframe. Risk factors include unforeseen changes in competitive pressures or in the level of demand for the company's products. Such demand variations may result from changes in technology, in the overall level of economic activity or, in some cases, in fashion. Valuations may also be affected by changes in taxation, in exchange rates and, in certain industries, in regulations. Investment in overseas markets and instruments such as ADRs can result in increased risk from factors such as exchange rates, exchange controls, taxation, and political and social conditions. This discussion of valuation methods and risk factors is not comprehensive – further information is available upon request.

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